The Five-Five-One Lucas Orchard: Structured Continuous-Time Notes

Self-contained derivation and high-dimensional computation strategy

October 7, 2025

Lean verification stamp pending. Run 'lake build' followed by the LaTeX pipeline to populate 'build/verified.tex'.

Abstract

We analyze an N-tree Lucas economy (the "Lucas Orchard") with log utility, focusing on the specification of $N = 5$ trees driven by $d = 5$ Brownian factors (the 5-5-1 model). We detail the high-dimensional state dynamics, stochastic discount factor, and the resulting valuation PDE. Given the 4-dimensional state space (the unit simplex), classical PDE methods are intractable. We emphasize the Deep BSDE method as the primary computational strategy, detailing the necessary stabilization techniques, including log-ratio coordinate transformations and advanced Monte Carlo methods (MLMC), required to overcome the curse of dimensionality.

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Executive Summary

Pedagogical Insight: Economic Intuition & Context

Primitives (5-5-1 Model). We consider $N = 5$ Lucas trees, $d = 5$ Brownian factors, and one representative agent with log utility maximizing $\mathbb{E}\int_0^\infty e^{-\rho t} \log C_t \, \mathrm{d}t$. Aggregate consumption is $C_t = \sum_{i=1}^5 D_t^i$. Each tree i follows:

$$\frac{\mathrm{d}D_t^i}{D_t^i} = \mu_i \, \mathrm{d}t + \boldsymbol{\sigma}_i^\top \mathrm{d}\boldsymbol{W}_t,$$

with $\boldsymbol{W}$ a 5-dimensional Brownian motion and loadings $\boldsymbol{\sigma}_i \in \mathbb{R}^5$.
Core equations. The state is defined by C_t and the share vector $\boldsymbol{s}_t \in \Delta^4$ (the 4D simplex), where $s_{i,t} = D_t^i / C_t$. We define the consumption-weighted coefficients:

$$\mu_C(\boldsymbol{s}) \equiv \sum s_i \mu_i, \qquad \boldsymbol{\sigma}_C(\boldsymbol{s}) \equiv \sum s_i \boldsymbol{\sigma}_i.$$

- **Consumption dynamics:** $\mathrm{d}C_t/C_t = \mu_C(\boldsymbol{s}_t) \, \mathrm{d}t + \boldsymbol{\sigma}_C(\boldsymbol{s}_t)^\top \mathrm{d}\boldsymbol{W}_t$.
- **Share dynamics:** The vector $\boldsymbol{s}_t$ evolves as a diffusion on the 4D simplex (see Lemma 2.2).
- **SDF:** $\Lambda_t = e^{-\rho t} C_t^{-1}$. The market price of risk is $\boldsymbol{\lambda}_t = \boldsymbol{\sigma}_C(\boldsymbol{s}_t)$ and the short rate is $r_t = \rho + \mu_C(\boldsymbol{s}_t) - \|\boldsymbol{\sigma}_C(\boldsymbol{s}_t)\|^2$ (see Proposition 3.1).

Analytical implications and Challenges. Log utility ensures that price–consumption ratios $g_i(\boldsymbol{s})$ depend only on the share vector $\boldsymbol{s}_t$. However, the valuation equation remains a 4-dimensional Partial Differential Equation (PDE), presenting a severe instance of the curse of dimensionality.
Computational Strategy.

1. **Classical PDE approach:** Intractable.
2. **Probabilistic Methods (Deep BSDE):** The primary approach. We reformulate the PDE as a coupled Forward-Backward SDE (FBSDE) and employ neural networks to approximate the solution.
3. **Stabilization (Key Contribution):** Solving the 4D system requires advanced techniques: unconstrained log-ratio coordinates (for exact simulation), barrier-enforced neural architectures, and high-order variance reduction (R-MLMC, Differential Losses).

1 Notation and Acronyms

Symbol	Type	Meaning
N, d	scalar	Number of trees ($N = 5$); Dimension of BM ($d = 5$)
$D_{i,t}$	state	Dividend of tree i; $i \in \{1, \dots, N\}$
C_t	state	Aggregate consumption $\sum D_{i,t}$
$\boldsymbol{s}_t$	vector	Share vector $(D_{1,t}/C_t, \dots)^\top \in \Delta^{N-1}$ (Unit Simplex)
$\boldsymbol{y}_t$	vector	Log-ratio coordinates $\in \mathbb{R}^{N-1}$
$\boldsymbol{W}_t$	vector	d-dimensional Brownian motion
$\boldsymbol{\sigma}_i$	vector	Diffusion loading for dividend i ($\in \mathbb{R}^d$)
μ_i	scalar	Drift of dividend i
ρ	scalar	Subjective discount rate
Λ_t	process	Stochastic discount factor $e^{-\rho t} C_t^{-1}$
$\boldsymbol{\lambda}_t$	vector	Market price of risk $\boldsymbol{\sigma}_C(\boldsymbol{s}_t)$ ($\in \mathbb{R}^d$)
$g_i(\boldsymbol{s})$	function	Price-Consumption ratio P_i/C
Derived coefficients (state-dependent on $\boldsymbol{s}_t$)		
$\mu_C(\boldsymbol{s})$	function	Drift of $\mathrm{d}C_t/C_t$: $\sum s_i \mu_i$
$\boldsymbol{\sigma}_C(\boldsymbol{s})$	function	Diffusion of $\mathrm{d}C_t/C_t$: $\sum s_i \boldsymbol{\sigma}_i$

Table 1: Notation used throughout.

Acronyms used in text: BSDE, FBSDE, SDF, CAPM, PDE, MLMC (Multilevel Monte Carlo).

2 Primitives and Assumptions

We generalize the standard Lucas economy to N trees driven by d shocks. We focus on the specification $N = 5$ and $d = 5$.

Assumption 2.1: N-Tree Lucas Environment (The Lucas Orchard)

1. Time is continuous on $[0, \infty)$ on a filtered probability space $(\Omega, \mathcal{F}, \{\mathcal{F}_t\}_{t\geq 0}, \mathbb{P})$ satisfying the usual conditions (right-continuous and complete). The filtration is generated by a $d = 5$ dimensional Brownian motion $\boldsymbol{W}$.

2. **Assets and Shocks:** There are $N = 5$ distinct trees (assets).

3. **Dividend Dynamics:** Each dividend process $D_{i,t}$ evolves according to the geometric Brownian motion (GBM):

$$\frac{\mathrm{d}D_{i,t}}{D_{i,t}} = \mu_i \,\mathrm{d}t + \boldsymbol{\sigma}_i^\top \mathrm{d}\boldsymbol{W}_t, \quad D_{i,t} \in \mathbb{R}_+, \tag{2.1}$$

   with constant drift $\mu_i \in \mathbb{R}$ and diffusion loading $\boldsymbol{\sigma}_i \in \mathbb{R}^5$.

4. **Preferences and Transversality:** A representative household has log utility over aggregate consumption $C_t \equiv \sum_{i=1}^5 D_{i,t}$.

$$\mathbb{E}\Big[\int_0^\infty e^{-\rho t} \log C_t \,\mathrm{d}t\Big]. \tag{2.2}$$

   We assume a positive subjective discount rate $\rho > 0$ to ensure the utility integral is finite (transversality condition).

5. Financial markets are frictionless and complete.

Pedagogical Insight: Economic Intuition & Context

The "Five-Five-One" Model. This configuration ($N = 5, d = 5$) introduces significant complexity. The state space becomes 4-dimensional (formal Lean notes are collected in Appendix A.7), rendering traditional numerical PDE solutions intractable. It serves as a challenging benchmark for high-dimensional continuous-time methods.

Mathematical Insight: Rigor & Implications

Rigor Check: GBM Formalization. The assumption that dividends follow Geometric Brownian Motion (GBM) is standard but strong. We provide a formal definition of the stochastic process structure.

Definition: Geometric Brownian Motion Structure

Lean stub recorded in Appendix A.7.

Computational Implications of GBM. The GBM assumption (constant coefficients $\mu_i, \boldsymbol{\sigma}_i$) is critical for the computational strategy. It allows for exact simulation of the underlying state dynamics when transformed into log-ratio coordinates (see Section 6.2), eliminating discretization error in the forward process of the FBSDE solver.

2.1 State space and transformations

The primitive state is the dividend vector $\boldsymbol{D}_t \in \mathbb{R}_+^N$. Log utility implies homogeneity, allowing a sufficient representation via aggregate consumption C_t and the share vector $\boldsymbol{s}_t$:

$$C_t = \sum_{i=1}^{N} D_{i,t}, \qquad s_{i,t} = \frac{D_{i,t}}{C_t}. \tag{2.3}$$

The share vector $\boldsymbol{s}_t$ lives on the $(N-1)$-dimensional unit simplex Δ^{N-1}.

State Space Transformation

The transformation $\mathcal{T} : \mathbb{R}_+^N \to \mathbb{R}_+ \times \Delta^{N-1}$ defined by $\boldsymbol{D} \mapsto (C, \boldsymbol{s})$ is a bijection (a diffeomorphism). This allows us to analyze the dynamics in the reduced coordinate system without loss of information.

Formal Definition: State Space and Simplex

Lean stub recorded in Appendix A.7.

Pedagogical Insight: Economic Intuition & Context

Geometry of the State Space. The dynamics are constrained to the simplex Δ^{N-1} (a 4D polytope in the 5-5-1 model). The behavior near the boundaries (faces, edges, vertices) is critical, as the diffusion process degenerates there (see Section 5). This geometry motivates the computational transformations (Section 6.2).

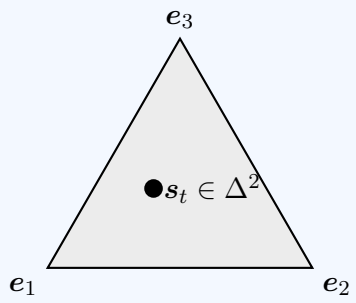


Figure 1: Visualization of the state space for a 3-tree model (the 2D simplex Δ^2). Vertices represent states where one asset dominates the economy. The 5-5-1 model evolves on the analogous 4D simplex Δ^4.

2.2 Dynamics of consumption and share

Applying Itô's lemma yields the dynamics in the reduced state space.

Lemma 2.1: Dynamics of aggregate consumption

Aggregate consumption satisfies

$$\frac{\mathrm{d}C_t}{C_t} = \mu_C(\boldsymbol{s}_t)\,\mathrm{d}t + \boldsymbol{\sigma}_C(\boldsymbol{s}_t)^\top \mathrm{d}\boldsymbol{W}_t, \tag{2.4}$$

$$\mu_C(\boldsymbol{s}) \equiv \sum_{i=1}^N s_i \mu_i, \qquad \boldsymbol{\sigma}_C(\boldsymbol{s}) \equiv \sum_{i=1}^N s_i \boldsymbol{\sigma}_i. \tag{2.5}$$

(Proof in Section A.1.1.)

Mathematical Insight: Rigor & Implications

Rigor Check: Aggregate Consumption Drift. Summing the dividend diffusions and weighting by the shares underpins Lemma 2.1. A matching Lean skeleton is tracked in Appendix A.7 while the blueprint pipeline is staged.

Lean status: Aggregate consumption dynamics (Lemma 2.1)

```
lemma aggregate_consumption_drift
    {≠ δ : Type*} [Finite Type] [DecidableEq ≠] [Finite δ]
    (δ i δ : ≠ ≠ ≠) (drift : ≠ ≠ ≠) (diff : ≠ ≠ δ ≠ ≠)
    (ℂ : ≠) (hℂ : ℂ ≥ ≠ i, δ i δ i) (hℂ_ne : ℂ ≠ 0) :
    let σ hare : ≠ ≠ ≠ :≥ φun i ≥> δ i δ i / ℂ
    let drift ℂ : ≠ :≥ ≠ i, σ hare i * drift i
    let diff ℂ : δ ≠ ≠ :≥ φun j ≥> ≠ i, σ hare i * diff i j
    in (≠ i, σ hare i ≥ 1)
      ≠ drift ℂ ≥ (1 / ℂ) * ≠ i, δ i δ i * drift i
      ≠ diff ℂ ≥ φun j ≥> (1 / ℂ) * ≠ i, δ i δ i * diff i j :≥ by
  cl ασ ic l
  intro σ hare drift ℂ diff ℂ
  constructor
  ≠ σim [σ hare, drift ℂ, diff ℂ, hℂ, hℂ_ne, div_eq_mul_inv, Φ
↪ in σe.mul_sum, mul_comm,
      mul_le_comm, mul_ασσoc]
  ≠ constructor
    ≠ σim [drift ℂ, σ hare, div_eq_mul_inv, Φin σe.mul_sum, mul_comm,
↪ mul_le_comm,
        mul_ασσoc]
    ≠ φunex j
      σim [diff ℂ, σ hare, div_eq_mul_inv, Φin σe.mul_sum, mul_comm,
↪ mul_le_comm,
        mul_ασσoc]

```

Lemma 2.2: Dynamics of the consumption share vector

The share process $s_{i,t}$ for tree i obeys $\mathrm{d}s_{i,t} = \mu_{s,i}(\boldsymbol{s}_t)\,\mathrm{d}t + \boldsymbol{\sigma}_{s,i}(\boldsymbol{s}_t)^\top \mathrm{d}\boldsymbol{W}_t$, where

$$\mu_{s,i}(\boldsymbol{s}) \equiv s_i\Big(\mu_i - \mu_C(\boldsymbol{s}) + \|\boldsymbol{\sigma}_C(\boldsymbol{s})\|^2 - \langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C(\boldsymbol{s})\rangle\Big), \tag{2.6}$$

$$\boldsymbol{\sigma}_{s,i}(\boldsymbol{s}) \equiv s_i(\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C(\boldsymbol{s})). \tag{2.7}$$

(Proof in Section A.1.2.)

Mathematical Insight: Rigor & Implications

Rigor Check: Itô's Quotient Rule. The derivation relies on the precise application of Itô's quotient rule, particularly the covariance terms that adjust the drift.

Algebraic Structure of Itô's Quotient Rule (Lemma 2.2)

The algebraic identity underlying the drift calculation is mirrored by a Lean snippet listed in Appendix A.7 (see Section A.3).

Pedagogical Insight: Economic Intuition & Context

Interpretation. The share $s_{i,t}$ drifts toward trees with higher expected growth μ_i (relative to the average μ_C) and toward trees with smaller exposure to aggregate risk (lower covariance with $\boldsymbol{\sigma}_C$).

2.3 Generator in $(C, \boldsymbol{s})$ coordinates

The state vector $\boldsymbol{X}_t = (C_t, \boldsymbol{s}_t^\top)^\top$ evolves as a multidimensional Itô diffusion.

Definition 2.1: Infinitesimal Generator

The infinitesimal generator $\mathcal{L}$ acts on smooth functions $f(\boldsymbol{x})$ as:

$$\mathcal{L}f(\boldsymbol{X}) = \sum_k \mu_{X_k} \frac{\partial f}{\partial X_k} + \frac{1}{2} \sum_{k,j} A_{kj} \frac{\partial^2 f}{\partial X_k \, \partial X_j},$$

where A is the instantaneous covariance matrix of $\boldsymbol{X}_t$.

We derive the components of the covariance matrix A for the system $\boldsymbol{X} = (C, \boldsymbol{s})$. Let i, j index the components of $\boldsymbol{s}$.

Lemma 2.3: Covariance Matrix of the State Vector

The components of the instantaneous covariance matrix A are:

$$A_{CC} = \langle \mathrm{d}C, \mathrm{d}C \rangle_t / \mathrm{d}t = C^2 \, \|\boldsymbol{\sigma}_C(\boldsymbol{s})\|^2 , \tag{2.8}$$

$$A_{s_i s_j} = \langle \mathrm{d}s_i, \mathrm{d}s_j \rangle_t / \mathrm{d}t = \langle \boldsymbol{\sigma}_{s,i}(\boldsymbol{s}), \, \boldsymbol{\sigma}_{s,j}(\boldsymbol{s}) \rangle \tag{2.9}$$

$$= s_i s_j \, \langle \boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C(\boldsymbol{s}), \, \boldsymbol{\sigma}_j - \boldsymbol{\sigma}_C(\boldsymbol{s}) \rangle , \tag{2.10}$$

$$A_{C s_i} = \langle \mathrm{d}C, \mathrm{d}s_i \rangle_t / \mathrm{d}t = C \, \langle \boldsymbol{\sigma}_C(\boldsymbol{s}), \, \boldsymbol{\sigma}_{s,i}(\boldsymbol{s}) \rangle \tag{2.11}$$

$$= C s_i \left(\langle \boldsymbol{\sigma}_C(\boldsymbol{s}), \, \boldsymbol{\sigma}_i \rangle - \|\boldsymbol{\sigma}_C(\boldsymbol{s})\|^2 \right) . \tag{2.12}$$

(Derivation and verification in Section A.1.3.)

Pedagogical Insight: Economic Intuition & Context

Intuition: State Covariance. The terms in A define the local interaction between the state variables.

- A_{CC} captures the volatility of aggregate consumption.
- $A_{s_i s_j}$ captures the covariance between the shares, driven by their relative volatility exposures $(\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C)$.
- A_{Cs_i} captures the covariance between aggregate consumption and share i. A positive value means that shocks increasing aggregate consumption tend to coincide with shocks increasing the share of asset i. This occurs if asset i's exposure to aggregate risk is high relative to aggregate volatility itself ($\langle \boldsymbol{\sigma}_C, \boldsymbol{\sigma}_i \rangle > \|\boldsymbol{\sigma}_C\|^2$).

Expanding the generator definition yields the explicit form:

$$\mathcal{L}f = (C\mu_C)\,\partial_C f + \sum_i \mu_{s,i}\,\partial_{s_i} f + \tfrac{1}{2} A_{CC}\,\partial_{CC} f + \tfrac{1}{2}\sum_{i,j} A_{s_i s_j}\,\partial_{s_i s_j} f + \sum_i A_{Cs_i}\,\partial_{Cs_i} f.$$

3 Stochastic Discount Factor and CAPM

Proposition 3.1: N-tree log-utility SDF and CAPM

The stochastic discount factor (SDF) $\Lambda_t = e^{-\rho t} C_t^{-1}$ satisfies

$$\frac{\mathrm{d}\Lambda_t}{\Lambda_t} = -r(\boldsymbol{s}_t)\,\mathrm{d}t - \boldsymbol{\lambda}(\boldsymbol{s}_t)^\top \mathrm{d}\boldsymbol{W}_t. \tag{3.1}$$

The short rate is $r(\boldsymbol{s}_t) = \rho + \mu_C(\boldsymbol{s}_t) - \|\boldsymbol{\sigma}_C(\boldsymbol{s}_t)\|^2$ and the market price of risk is $\boldsymbol{\lambda}(\boldsymbol{s}_t) = \boldsymbol{\sigma}_C(\boldsymbol{s}_t)$.

SDF Definition and Log Utility Property

We formalize the definition of the SDF and verify its form for log utility.
Lean bookkeeping for this argument lives in Appendix A.7.

(Proof in Section A.1.4.)

Connections to the Literature

CRRA specialization. For CRRA utility with risk aversion γ, $\boldsymbol{\lambda}_t = \gamma\,\boldsymbol{\sigma}_{C,t}$ (see [1]). Log utility corresponds to $\gamma = 1$, recovering $\boldsymbol{\lambda}_t = \boldsymbol{\sigma}_{C,t}$.

Corollary 3.1: Tree-level risk premia and Risk-Neutral Drifts

The risk-neutral drift of the dividend process D_j under the measure $\mathbb{Q}$ is

$$\mu_j^{\mathbb{Q}}(\boldsymbol{s}_t) = \mu_j - \langle \boldsymbol{\sigma}_j, \boldsymbol{\sigma}_C(\boldsymbol{s}_t) \rangle\,. \tag{3.2}$$

(Proof in Section A.1.5.)

4 Dimensionality Reduction and the Valuation PDE

Log utility allows for a reduction from an N-dimensional PDE in $\boldsymbol{D}$ to an $(N-1)$-dimensional PDE in $\boldsymbol{s}$.

Proposition 4.1: Homogeneity and Price–Consumption Ratios

Prices are homogeneous of degree one in dividends. We define the price–consumption ratio $g_i(\boldsymbol{s}) \equiv P_i/C$. The price of tree i factorises as:

$$P_i(\boldsymbol{D}_t) = C_t g_i(\boldsymbol{s}_t), \qquad g_i : \Delta^{N-1} \to \mathbb{R}_+. \tag{4.1}$$

(Proof in Section A.2.1.)

4.1 Risk-Neutral Dynamics of the Share Process

To perform risk-neutral valuation, we transform the dynamics from the physical measure $\mathbb{P}$ to the risk-neutral measure $\mathbb{Q}$. By Girsanov's theorem, the Brownian motion transforms as

$$\mathrm{d}\boldsymbol{W}_t^{\mathbb{Q}} = \mathrm{d}\boldsymbol{W}_t + \boldsymbol{\lambda}_t \,\mathrm{d}t.$$

Given log utility, the market price of risk is $\boldsymbol{\lambda}_t = \boldsymbol{\sigma}_C(\boldsymbol{s}_t)$ (Proposition 3.1). We apply this transformation to the share dynamics (Lemma 2.2).

Mathematical Insight: Rigor & Implications

Rigor Check: Girsanov's Theorem. The change of measure relies on Girsanov's theorem, requiring that the market price of risk $\boldsymbol{\lambda}_t$ satisfies Novikov's condition. In the log-utility Lucas model, this is generally satisfied. We formalize the structure of the theorem's application.

Structure: Girsanov Transformation

Lean bookkeeping for this change-of-measure step lives in Appendix A.7.

Lemma 4.1: Risk-neutral share dynamics

Under the risk-neutral measure $\mathbb{Q}$, the share process $s_{i,t}$ evolves as

$$\mathrm{d}s_{i,t} = \mu_{s_i}^{\mathbb{Q}}(\boldsymbol{s}_t)\,\mathrm{d}t + \boldsymbol{\sigma}_{s,i}(\boldsymbol{s}_t)^\top \mathrm{d}\boldsymbol{W}_t^{\mathbb{Q}}. \tag{4.2}$$

The diffusion $\boldsymbol{\sigma}_{s,i}$ remains invariant. The risk-neutral drift $\mu_{s_i}^{\mathbb{Q}}(\boldsymbol{s})$ is given by

$$\mu_{s_i}^{\mathbb{Q}}(\boldsymbol{s}) = s_i\Big(\mu_i^{\mathbb{Q}}(\boldsymbol{s}) - \mu_C^{\mathbb{Q}}(\boldsymbol{s}) + \underbrace{\|\boldsymbol{\sigma}_C(\boldsymbol{s})\|^2 - \langle \boldsymbol{\sigma}_i, \boldsymbol{\sigma}_C(\boldsymbol{s})\rangle}_{\text{Itô adjustment}}\Big). \tag{4.3}$$

Equivalently, expressed in terms of physical parameters,

$$\mu_{s_i}^{\mathbb{Q}}(\boldsymbol{s}) = s_i\Big(\mu_i - \mu_C(\boldsymbol{s}) + 2\,\|\boldsymbol{\sigma}_C(\boldsymbol{s})\|^2 - 2\,\langle \boldsymbol{\sigma}_i, \boldsymbol{\sigma}_C(\boldsymbol{s})\rangle\Big). \tag{4.4}$$

(The proof in Appendix A.2.2 verifies this using two methods: Girsanov transformation and direct application of Itô's lemma under $\mathbb{Q}$.)

Mathematical Insight: Rigor & Implications

Rigor Check: A common misconception regarding Itô terms. It is sometimes incorrectly asserted (e.g., implied by [3], Eq. 23) that the risk-neutral drift of the share simplifies to $\mu_{s_i}^{\mathbb{Q}}(\boldsymbol{s}) \overset{?}{=} s_i(\mu_i^{\mathbb{Q}}(\boldsymbol{s}) - \mu_C^{\mathbb{Q}}(\boldsymbol{s}))$.
This is incorrect because Itô's quotient rule must still be applied when analyzing the dynamics of the quotient $s_i = D_i/C$ under $\mathbb{Q}$:

$$\frac{\mathrm{d}s_i}{s_i} = \left(\frac{\mathrm{d}D_i}{D_i} - \frac{\mathrm{d}C}{C}\right) - \mathrm{Cov}_t^{\mathbb{Q}}\left(\frac{\mathrm{d}D_i}{D_i}, \frac{\mathrm{d}C}{C}\right) + \mathrm{Cov}_t^{\mathbb{Q}}\left(\frac{\mathrm{d}C}{C}, \frac{\mathrm{d}C}{C}\right). \tag{4.5}$$

The drift component under $\mathbb{Q}$ is therefore

$$\mathrm{Drift}^{\mathbb{Q}}\left(\frac{\mathrm{d}s_i}{s_i}\right) = (\mu_i^{\mathbb{Q}} - \mu_C^{\mathbb{Q}}) \underbrace{- \langle \boldsymbol{\sigma}_i, \boldsymbol{\sigma}_C \rangle + \|\boldsymbol{\sigma}_C\|^2}_{\text{Itô adjustment}}. \tag{4.6}$$

The covariance terms (Itô adjustment) are invariant under the measure change and do not vanish. The misconception arises from neglecting these terms when analyzing the quotient dynamics under the new measure.
The discrepancy between the correct drift (4.3) and the incorrect assertion is $s_i(\|\boldsymbol{\sigma}_C\|^2 - \langle \boldsymbol{\sigma}_i, \boldsymbol{\sigma}_C \rangle)$, which is generally non-zero.
Symbolic verification confirming (4.3) via both derivations is provided in Section A.2.2.

Pedagogical Insight: Economic Intuition & Context

Economic Implication. The share dynamics under $\mathbb{Q}$ are driven by the relative risk-neutral growth rates, adjusted by the volatility terms (Itô adjustments). It is crucial that these adjustment terms are correctly included in the generator $\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}}$ used in the valuation PDE (Theorem 4.1) and in any simulation under $\mathbb{Q}$.

4.2 The Valuation PDE in Share Coordinates

Theorem 4.1: Valuation PDE for Price–Consumption Ratios

The price–consumption ratio $g_i(\boldsymbol{s})$ satisfies the following $(N-1)$-dimensional second-order linear PDE on the simplex Δ^{N-1}. We use the identity $r(\boldsymbol{s}) - \mu_C^{\mathbb{Q}}(\boldsymbol{s}) = \rho$ (specific to log utility).

$$\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}} g_i(\boldsymbol{s}) + \mathcal{C}_{\boldsymbol{s}} g_i(\boldsymbol{s}) - \rho g_i(\boldsymbol{s}) + s_i = 0. \tag{4.7}$$

Here, $\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}}$ is the standard generator of the share process $\boldsymbol{s}_t$ under $\mathbb{Q}$ (drift and diffusion terms). $\mathcal{C}_{\boldsymbol{s}}$ is the cross-term operator arising from the covariance between C and $\boldsymbol{s}$:

$$\mathcal{C}_{\boldsymbol{s}} g_i(\boldsymbol{s}) \equiv \sum_{j=1}^{N} \frac{A_{Cs_j}}{C} \frac{\partial g_i}{\partial s_j}(\boldsymbol{s}). \tag{4.8}$$

(The proof in Section A.2.3 provides the detailed derivation via generator expansion.)

Mathematical Insight: Rigor & Implications

Rigor Check: The Cross-Term Operator $\mathcal{C}_{\boldsymbol{s}}$. It is crucial to include the cross-term $\mathcal{C}_{\boldsymbol{s}} g_i$ in the PDE. This term arises from the mixed partial derivatives ∂_{Cs_j} when applying the full generator $\mathcal{L}^{\mathbb{Q}}_{(C,\boldsymbol{s})}$ to the homogeneous form $P_i = C g_i(\boldsymbol{s})$.
While the cross-terms vanish in aggregate, i.e., $\sum_i \mathcal{C}_{\boldsymbol{s}} g_i(\boldsymbol{s}) = 0$ (verified in Section A.2.3), they do not generally vanish for individual assets. Omitting this term leads to an incorrect PDE for $g_i(\boldsymbol{s})$.

Pedagogical Insight: Economic Intuition & Context

Interpretation of the PDE. The valuation equation (4.7) balances the expected change in valuation due to state dynamics (the generator $\mathcal{L}^{\mathbb{Q}}_{\boldsymbol{s}}$ and the cross-term $\mathcal{C}_{\boldsymbol{s}}$), the required return (discounting at ρ), and the dividend payout (s_i).

Mathematical Insight: Rigor & Implications

The Curse of Dimensionality. For the 5-5-1 model ($N = 5$), this is a PDE in 4 dimensions. The coupled nature of the system and the complex drift/diffusion structure make this intractable for traditional grid-based methods (Finite Differences/Volumes).

5 Boundary Conditions and Regularity

The valuation PDE (4.7) is defined on the state space Δ^{N-1}. Understanding the behaviour of the solution $g_i(\boldsymbol{s})$ near faces, edges, and vertices is essential for both economic interpretation and numerical stability.

Definition 5.1: Simplex Boundaries and Vertices

The boundary $\partial\Delta^{N-1}$ comprises points $\boldsymbol{s}$ with at least one component $s_k = 0$. A vertex $\boldsymbol{e}_j$ has $s_j = 1$ and $s_k = 0$ for $k \neq j$.

Proposition 5.1: Boundary Conditions at Vertices (Single-Tree Limit)

As $\boldsymbol{s}$ approaches a vertex $\boldsymbol{e}_j$, the economy collapses to a single-tree Lucas setting dominated by asset j. The price–consumption ratios satisfy the Dirichlet boundary condition

$$\lim_{\boldsymbol{s}\to\boldsymbol{e}_j} g_i(\boldsymbol{s}) = \frac{\delta_{ij}}{\rho}, \tag{5.1}$$

where δ_{ij} is the Kronecker delta. (Proof and verification appear in Section A.2.4.)

Pedagogical Insight: Economic Intuition & Context

Economic Intuition: The log-utility Gordon limit. At $\boldsymbol{e}_j$, asset j represents the entire market ($C_t = D_{j,t}$). Log utility ($\gamma = 1$) makes the income and substitution effects offset, leaving a constant price–consumption ratio $1/\rho$ whenever $\rho > 0$ ensures transversality.

Mathematical Insight: Rigor & Implications

PDE Degeneracy and Fichera Theory. The valuation PDE (4.7) is degenerate at the boundaries.

Definition 5.2: Degeneracy and Wright-Fisher Structure

The diffusion volatility $\boldsymbol{\sigma}_{s,i}(\boldsymbol{s}) = s_i(\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C(\boldsymbol{s}))$ vanishes as $s_i \to 0$. Consequently, the PDE loses uniform ellipticity on $\partial\Delta^{N-1}$. This structure characterizes a multivariate Wright-Fisher type diffusion on the simplex.

The theory of degenerate elliptic-parabolic equations (Fichera theory, [16]) dictates whether boundary conditions must be imposed. Classification depends on the boundary behavior: **Exit** (attainable; requires conditions) or **Entrance** (unattainable; no conditions imposed). This is typically determined by the Fichera function (normal drift at the boundary).

Proposition 5.2: Drift Behavior Near Boundaries

The risk-neutral drift of the share process $\mu^{\mathbb{Q}}_{s_i}(\boldsymbol{s})$ (Lemma 4.1) vanishes linearly as $s_i \to 0$:

$$\mu^{\mathbb{Q}}_{s_i}(\boldsymbol{s}) = O(s_i) \quad \text{as } s_i \to 0.$$

Proof. This follows immediately from the definition (4.3), which contains a factor of s_i. □

Analysis. Since the drift vanishes (Proposition 5.2), the classical Fichera function (normal drift pointing into the domain) is zero. The classification is therefore subtle and depends on the relative rates at which the drift and diffusion vanish near the boundary. This requires advanced analysis of the degenerate generator on the simplex (see [15]).

Intuition: Attainability of Boundaries

The key question at $s_i = 0$ is whether diffusion is strong enough relative to drift to reach the boundary.
The drift $\mu^{\mathbb{Q}}_{s,i}$ vanishes linearly ($O(s_i)$; see Proposition 5.2). The diffusion matrix A also degenerates; importantly, the diagonal component $A_{s_i s_i}$ scales quadratically, $O(s_i^2)$ (see Lemma 2.3). Despite this rapid vanishing of the diagonal variance, the multivariate structure (off-diagonal terms and geometry of the simplex) ensures diffusion is sufficiently strong relative to drift to render the boundary attainable in our setting.

Theorem 5.1: Attainability of Boundaries (Exit Condition)

For the N-tree log-utility model, the boundaries $\partial\Delta^{N-1}$ are attainable (Exit boundaries).

Proof (Proof Sketch). The analysis of multi-dimensional Wright-Fisher diffusions (see [15] for rigorous treatment) confirms attainability for the coefficient structure at hand: linear $O(s_i)$ drift and quadratic $O(s_i^2)$ variance along with non-trivial cross-covariances.

6 Computation: High-Dimensional Strategies

Solving the 4-dimensional valuation PDE (4.7) requires methods that mitigate the curse of dimensionality. Classical methods (FD/FVM) are impractical.

6.1 Probabilistic Reformulation (Deep BSDE)

The preferred approach for high-dimensional PDEs is to use probabilistic methods. We leverage the Feynman-Kac theorem to reformulate the valuation PDE (4.7) as a system of coupled Forward-Backward Stochastic Differential Equations (FBSDEs). This enables simulation-based solvers, notably the Deep BSDE method [6, 8].

Algorithmic Choices and Implementation Stack

Algorithm landscape. While we prioritize **Deep BSDE**, two robust alternatives exist: *Deep Backward Schemes (DBS)* [12], which iterate backward in time, and *Multilevel Picard* approximations [13]. We choose Deep BSDE for flexibility and strong performance in high dimensions.

Implementation stack. We use the JAX ecosystem for automatic differentiation (AD) and hardware acceleration. *Equinox* provides neural model components; *Optax* provides optimizers, schedules, and gradient transformations.

Mathematical Insight: Rigor & Implications

Feynman-Kac Connection. The Feynman-Kac theorem establishes the equivalence between the solution of a linear parabolic PDE and the expected value of a stochastic process. In the FBSDE formulation, the solution P_t^i (the price) and its diffusion exposure $\boldsymbol{Z}_t^i$ (the "control" or "gradient" process) are characterized by the backward component of the SDE.

Proposition 6.1: FBSDE representation for tree i

Let $P_t^i = C_t g_i(\boldsymbol{s}_t)$. The system $(C_t, \boldsymbol{s}_t, P_t^i, \boldsymbol{Z}_t^i)$ solves the coupled FBSDE:

$$\text{Forward (under } \mathbb{P}\text{): Dynamics of } C_t, \boldsymbol{s}_t \text{ (See Lemmas 2.1 and 2.2)} \tag{6.1}$$

$$\text{Backward (under } \mathbb{P}\text{):} \tag{6.2}$$

$$\mathrm{d}P_t^i = \left(r_t P_t^i - D_t^i + (\boldsymbol{Z}_t^i)^\top \boldsymbol{\lambda}_t\right) \mathrm{d}t + (\boldsymbol{Z}_t^i)^\top \mathrm{d}\boldsymbol{W}_t. \tag{6.3}$$

The diffusion exposure $\boldsymbol{Z}_t^i \in \mathbb{R}^d$ (the control process) is given by:

$$\boldsymbol{Z}_t^i = C_t \Big(\underbrace{g_i(\boldsymbol{s}_t)\boldsymbol{\sigma}_C(\boldsymbol{s}_t)}_{\text{Consumption Risk}} + \underbrace{\sum_{j=1}^{N} \frac{\partial g_i}{\partial s_j}(\boldsymbol{s}_t)\boldsymbol{\sigma}_{s_j}(\boldsymbol{s}_t)}_{\text{Share Risk}} \Big). \tag{6.4}$$

(Proof in Section A.2.6.)

Pedagogical Insight: Economic Intuition & Context

Economic Intuition: The Control Process $\boldsymbol{Z}_t^i$. The process $\boldsymbol{Z}_t^i$ represents the sensitivity of the price P_t^i to the underlying Brownian shocks $\mathrm{d}\boldsymbol{W}_t$. It dictates the hedging portfolio. In the $(C, \boldsymbol{s})$ framework, this sensitivity decomposes into two parts (see (6.4)):

1. **Consumption Risk:** Sensitivity to changes in the level of aggregate consumption C_t.
2. **Share Risk:** Sensitivity to changes in the composition of consumption $\boldsymbol{s}_t$.

In the Deep BSDE method, $\boldsymbol{Z}_t^i$ is the primary object approximated by the neural network (via automatic differentiation of g_i).

6.2 Coordinate Transformation: Log-Ratios

The simplex constraint on $\boldsymbol{s}_t$ complicates numerical solutions, particularly near the boundaries where dynamics degenerate. We transform the state space using log-ratios $\boldsymbol{y}_t \in \mathbb{R}^{N-1}$ relative to a numéraire asset (e.g., asset N):

$$y_{i,t} = \log(D_{i,t}/D_{N,t}) = \log(s_{i,t}/s_{N,t}), \quad i = 1, \ldots, N-1.$$

The inverse transformation is the softmax function.

Lemma 6.1: Dynamics of Log-Ratios

The log-ratio process $y_{i,t}$ evolves as:

$$\mathrm{d}y_{i,t} = \left(\mu_i - \mu_N + \tfrac{1}{2}(\|\boldsymbol{\sigma}_N\|^2 - \|\boldsymbol{\sigma}_i\|^2)\right)\mathrm{d}t + (\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_N)^\top \mathrm{d}\boldsymbol{W}_t. \tag{6.5}$$

Proof. Apply Itô's lemma to $\log(D_i) - \log(D_N)$ (detailed in Section A.2.5). □

Mathematical Insight: Rigor & Implications

Computational Advantage: Exact Simulation. The dynamics of $\boldsymbol{y}_t$ follow a generalized Brownian motion with constant coefficients. This crucial simplification allows for *exact* simulation of the forward process (no discretization error in state dynamics) and maps the constrained simplex Δ^{N-1} to the unconstrained space $\mathbb{R}^{N-1}$.

6.3 Deep BSDE Implementation and Stabilization

The Deep BSDE algorithm solves the FBSDE by approximating $g_i(\boldsymbol{y})$ and its gradient $\nabla_{\boldsymbol{y}} g_i(\boldsymbol{y})$ (via Automatic Differentiation, AD) using Equinox neural networks trained with Optax. Implementation for the 5-5-1 model (4D state space) requires advanced stabilization techniques to ensure convergence. We detail the required strategies, incorporating modern Deep FBSDE practices through September 2025, summarized in Algorithm 1 (Section B).

6.3.1 Architecture: Barrier Ansatz

Pedagogical Insight: Economic Intuition & Context

Motivation. Degeneracy at the simplex boundary $\partial\Delta^4$ (Section 5) requires architectures that satisfy vertex limits and vanish appropriately on faces. The Barrier Ansatz enforces this by construction, improving stability and accuracy.

Barrier Ansatz Architecture

We parameterize g_i with a prior plus a barrier-weighted neural correction that enforces boundary conditions (Proposition 5.1):

$$g_i(\boldsymbol{y};\Theta) \;=\; g_i^{\text{Prior}}(\boldsymbol{y}) \;+ B(\boldsymbol{s}(\boldsymbol{y}))\,\mathcal{N}_i(\boldsymbol{y};\Theta). \tag{6.6}$$

We use the prior $g_i^{\text{Prior}}(\boldsymbol{y}) = s_i(\boldsymbol{y})/\rho$ and the barrier $B(\boldsymbol{s}) = \prod_{j=1}^{N} s_j$. The barrier B vanishes on $\partial\Delta^{N-1}$, ensuring the correction term is zero at the boundaries, while the prior matches the vertex limits exactly. (Verified in Section A.2.5).

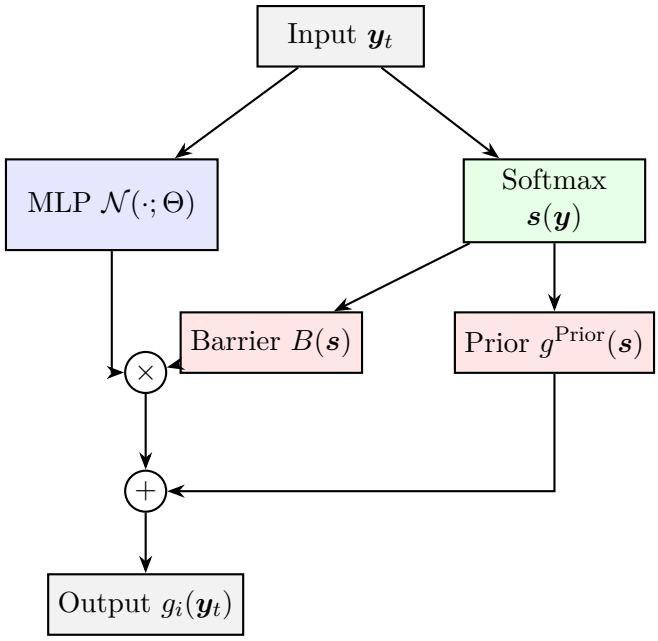


Figure 2: Deep BSDE solver architecture using the Barrier Ansatz (6.6). The network learns a correction that is forced to zero on the boundary $\partial\Delta^{N-1}$ by the barrier function $B(\boldsymbol{s})$.

6.3.2 Variance Reduction Techniques

High-dimensional FBSDEs require aggressive variance reduction to stabilize stochastic gradient descent.

- **Antithetic Sampling (AS):** We use coupled antithetic paths for the Brownian increments $\Delta \boldsymbol{W}_t$ [4].
- **Control Variates (CV):** The prior g_i^{Prior} acts as an analytical control variate.
- **Randomized Multilevel Monte Carlo (R-MLMC):** We employ R-MLMC [11] to construct unbiased, low-variance gradient estimators by sampling across different time discretization levels.
- **Malliavin-based Gradients:** To improve the estimation of the control $\boldsymbol{Z}_t$, Malliavin calculus techniques [14] provide lower-variance sensitivity estimators than naive pathwise methods, complementing AD-based controls.

Implementation Insight: R-MLMC and Exact Simulation

R-MLMC utilizes a telescoping sum across discretization levels. Crucially, the exact simulation of the forward process in $\boldsymbol{y}$ coordinates (Lemma 6.1) enables efficient implementation of R-MLMC at arbitrary resolutions, maximizing the variance reduction benefits.

6.3.3 Discretization and Time Stepping

While the forward process $\boldsymbol{y}_t$ is simulated exactly, the backward component (BSDE) requires discretization.

- **Scheme:** We employ an Euler scheme for the BSDE. Higher-order schemes (e.g., Milstein) are typically unnecessary here given the linear driver in g (Proposition C.1) and exact forward simulation.
- **Time grid:** Non-uniform or randomized time grids can improve accuracy and variance properties, especially when paired with R-MLMC.

6.3.4 Training Objective: Differential Losses

Modernization: Differential Losses (Pathwise Regression)

Following recent advances (e.g., [7]), we adopt a pathwise differential loss instead of matching a terminal condition Y_T. We minimize the residual of the discretized BSDE along realized trajectories:

$$\mathcal{L}(\Theta) = \mathbb{E}\Big[\sum_k \big\|Y_{\tau_{k+1}} - \text{BSDE_Step}(Y_{\tau_k}, \boldsymbol{Z}_{\tau_k}(\Theta), \Delta\tau_k, \Delta\boldsymbol{W}_{\tau_k})\big\|^2\Big].$$

This provides denser training signals and significantly lowers variance. AD is used to compute the control process $\boldsymbol{Z}_t$ via the gradient ∇g.

Computational Paradigm Shift

From optimization to regression. Combining R-MLMC with differential losses transforms the optimization problem into a low-variance, pathwise regression task. This approach is indispensable for scaling to the 4D state space where classical objectives struggle.

Modernization: Loss Balancing

When using differential losses across time steps, appropriate weighting is crucial. We employ time-dependent weights w_k to shape the contribution of step-k residuals:

$$\mathcal{L}(\Theta) = \mathbb{E}\Big[\sum_k w_k \cdot \big\|\text{Residual}_k(\Theta)\big\|^2\Big].$$

If a mixed objective adds a terminal penalty, dynamic weighting between pathwise and terminal terms is often necessary for stable training.

6.3.5 Training Procedures and Diagnostics

Robust training requires careful hyperparameter management and monitoring:

- **Optimizer:** Adam or AdamW (via Optax); AdamW often stabilizes weights via decoupled decay.
- **Schedules:** Cosine annealing or exponential decay schedules help navigate non-convex losses.
- **Clipping:** Clip gradients by global norm to prevent early explosions.
- **Diagnostics:** Track gradient-variance, the stability of $\boldsymbol{Z}$ across the state grid, and behaviour near $\partial\Delta^4$.

6.4 Implementation Snippet: JAX/Equinox/Optax

We provide a minimal JAX snippet illustrating the core components: an Equinox model with the Barrier Ansatz and AD (`jax.jacrev`) for computing the control $\boldsymbol{Z}$.

Listing 1: Minimal JAX/Equinox snippet illustrating Barrier Ansatz and AD for controls (5-5-1 model).

```
imπortτ jαx
imπortτ jαx.numπy ασ jnπ
imπortτ equinox ασ eqx
imπortτ oπταx
φrom jαx imπortτ rανδom, jαcrev

# Conφigurατion (5-5-1 moδel)
N_DIM ≥ 4; N_TREEΣ ≥ 5; RHΩ ≥ 0.04

# 1) Moδel Deφiniτion (Equinox Moδule wiτh Bαrrier Anσατz)
clαsσ PriceConσNeτ(eqx.Moδule):
    mlπ: eqx.nn.MLP

    δeφ __iniτ__(σelφ, key):
        σelφ.mlπ ≥ eqx.nn.MLP(in_σize≥N_DIM, ouτ_σize≥N_TREEΣ,
                              wiδτh_σize≥64, δeπτh≥3, αcτivατion≥jαx.nn.τανh, key≥key)

    δeφ __cαll__(σelφ, y):
        # y: (..., N_DIM)
        y_φull ≥ jnπ.concατenατe([y, jnπ.zeroσ(y.σhαπe[:-1] + (1,))], αxiσ≥-1)
        σ ≥ jαx.nn.σoφτmαx(y_φull, αxiσ≥-1)  # σhαreσ
        g_πrior ≥ σ / RHΩ
        bαrrier ≥ jnπ.πroδ(σ, αxiσ≥-1, keeπδimσ≥True)
        nn_ouτπuτ ≥ σelφ.mlπ(y)
        reτurn g_πrior + bαrrier * nn_ouτπuτ

# 2) Conτrolσ Z viα AD
δeφ comπuτe_g_ανδ_Z(moδel, y, ΣIGMA_Y):
    # ΣIGMA_Y: (N_DIM, N_σhockσ)
    g ≥ moδel(y)
    jαc_g_y ≥ jαcrev(moδel)(y)       # (N_TREEΣ, N_DIM)
    Z_g ≥ jαc_g_y @ ΣIGMA_Y          # (N_TREEΣ, N_σhockσ)
    reτurn g, Z_g

# 3) Ωπτimizer Σeτuπ (Ωπταx)
moδel ≥ PriceConσNeτ(rανδom.PRNGKey(0))
oπτimizer ≥ oπταx.αδαmw(leαrning_rατe≥1e-4)
oπτ_στατe ≥ oπτimizer.iniτ(eqx.φilτer(moδel, eqx.iσ_inexαcτ_αrrαy))
```

Complexity note. Runtime is dominated by forward simulation and AD for $\boldsymbol{Z}$. JAX enables vectorization (`vmap`) and compilation (`jit`).

6.5 Lean-to-LaTeX Verification Pipeline (Minted, 2025)

Pedagogical Insight: Economic Intuition & Context

Purpose. The Lean sections of this document are now typeset with `minted` using the built-in Lean 4 lexer (Pygments ≥ 2.18). Every snippet is imported from the same source files that `lake` compiles, so the PDF mirrors the verified code.[a]

[a] The minted branch is automatically selected when `minted.sty` is present; otherwise the legacy `listings` fallback is used.

Mathematical Insight: Rigor & Implications

Pipeline.

1. **Lean gate.** CI runs `lake build` via `leanprover/lean-action@v1`, replays the compiled environments with `lean4checker`, and fails fast if any `sorry`/`admit` tokens remain.[a]
2. **Verification stamp.** A helper script records the commit hash, Lean toolchain, timestamp, and the "no-sorry" status to `build/verified.tex`; the banner is injected automatically after `\maketitle`.
3. **LaTeX stage.** The XeLaTeX pass relies on `latexmk -pdfxe` with `minted` (restricted shell escape suffices on TeX Live 2025 because `latexminted` is on the allow list). The macros `\leanfile` and `leanblock` dispatch to `\inputminted[language=lean4]...` when the package is available.
4. **Distribution.** For arXiv or other sandboxes, build once to populate `minted-cache/`, switch to `\usepackage[frozencache,cachedir=minted-cache]minted`, and ship the cache directory with the submission.

Tooling highlights.

- `leanprover/lean-action@v1` encapsulates elan setup, mathlib cache priming, and exposes the `lean4checker` toggle.
- The minted macros live alongside a `listings` fallback, so existing Python/SymPy examples continue to use the familiar `lstlisting` style.
- On modern TeX Live (2025) the bundled `latexminted` runner keeps builds within restricted shell escape; legacy TEXMF trees can still fall back to `-shell-escape` when required.
- Local command sequence: `lake build` → `latexmk -pdfxe Tex/BSDE_31.tex`.

[a] Locally, run `lake build` followed by `rg "bsorry|badmit" lean/`.

Pedagogical Insight: Economic Intuition & Context

Traceability. Because the PDF is gated on a successful Lean build and embeds the verification banner, readers can match every Lean code excerpt against the sources tracked under `lean/`.

7 Economic Implications: State-Dependent Dynamics

The multi-tree log utility setting (the "Lucas Orchard", [10]) provides a laboratory for studying how the composition of the economy affects asset prices. In the 5-5-1 model, the 4-dimensional dynamics of the share vector $\boldsymbol{s}_t$ entirely determine the time variation and cross-section of valuations, risk premia, and correlations.

7.1 State-Dependent Risk Premia

Definition 7.1: Instantaneous Risk Premium

The instantaneous expected excess return (risk premium) $\mathcal{R}_i(\boldsymbol{s}_t)$ for asset i is defined by the covariance of its return with the SDF:

$$\mathcal{R}_i(\boldsymbol{s}_t)\,\mathrm{d}t \equiv \mathbb{E}_t\left[\frac{\mathrm{d}P_{i,t}}{P_{i,t}}\right] - r_t\,\mathrm{d}t = -\operatorname{Cov}_t\left(\frac{\mathrm{d}P_{i,t}}{P_{i,t}}, \frac{\mathrm{d}\Lambda_t}{\Lambda_t}\right).$$

Proposition 7.1: Risk Premium Decomposition

The risk premium of asset i is determined by its exposure to aggregate risk $\boldsymbol{\lambda}_t = \boldsymbol{\sigma}_C(\boldsymbol{s}_t)$:

$$\mathcal{R}_i(\boldsymbol{s}) = \langle \boldsymbol{\sigma}_{P_i}(\boldsymbol{s}),\, \boldsymbol{\sigma}_C(\boldsymbol{s}) \rangle\,, \tag{7.1}$$

where $\boldsymbol{\sigma}_{P_i} \equiv \boldsymbol{Z}_t^i / P_t^i$ is the diffusion exposure of the price process (derived from Proposition 6.1).

Proof. From Equation (3.1), the diffusion of the SDF is $-\boldsymbol{\lambda}_t = -\boldsymbol{\sigma}_C(\boldsymbol{s}_t)$. The diffusion of the price return is $\boldsymbol{\sigma}_{P_i}$. The covariance (and thus the risk premium) is $\langle \boldsymbol{\sigma}_{P_i}, \boldsymbol{\sigma}_C \rangle$. □

Computational Link: Evaluating Risk Premia

The risk premium $\mathcal{R}_i(\boldsymbol{s})$ is directly computable from the Deep BSDE solution. The price exposure $\boldsymbol{\sigma}_{P_i}$ depends on both the level $g_i(\boldsymbol{s})$ and its gradient $\nabla_{\boldsymbol{s}} g_i(\boldsymbol{s})$ (see Equation (6.4)). The non-linearity of g_i implies that the risk premium surface is complex across the 4D state space.

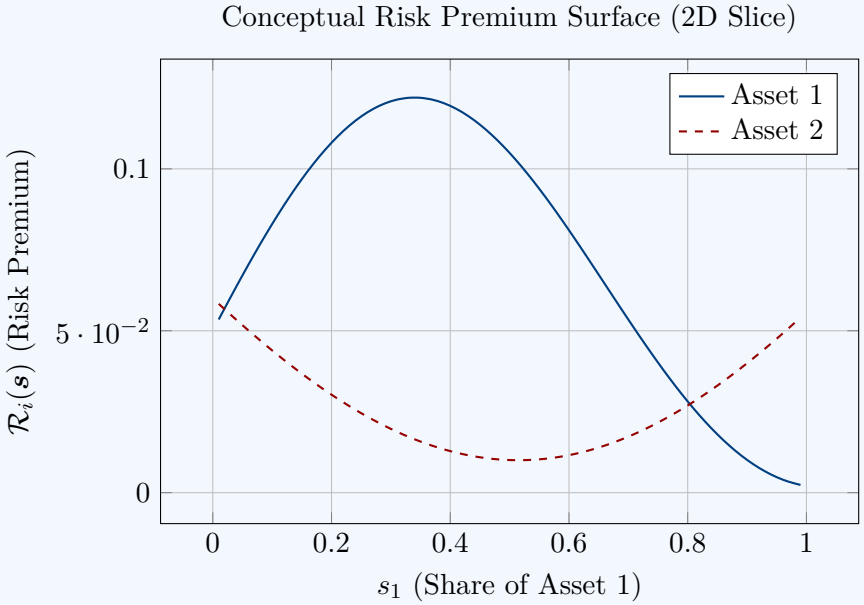


Figure 3: Conceptual illustration of the non-linear risk premium surface as a function of the state space (shown as a 1D slice). The 5-5-1 model features a 4D surface.

7.2 Endogenous Correlation

The correlation structure between asset returns is not static but evolves endogenously with the economic composition $\boldsymbol{s}_t$.

Definition 7.2: Instantaneous Correlation

The instantaneous correlation between the returns of assets i and j is:

$$\rho_{ij}(\boldsymbol{s}) = \frac{\left\langle \boldsymbol{\sigma}_{P_i}(\boldsymbol{s}), \boldsymbol{\sigma}_{P_j}(\boldsymbol{s}) \right\rangle}{\|\boldsymbol{\sigma}_{P_i}(\boldsymbol{s})\| \left\|\boldsymbol{\sigma}_{P_j}(\boldsymbol{s})\right\|}. \tag{7.2}$$

Mechanism of Endogeneity: The Role of Gradients

The endogeneity stems from the dependence of $\boldsymbol{\sigma}_{P_i}$ on the level $g_i(\boldsymbol{s})$ and its gradient $\nabla_{\boldsymbol{s}} g_i(\boldsymbol{s})$. From Equation (6.4), dividing by $P_i = Cg_i$ gives

$$\boldsymbol{\sigma}_{P_i}(\boldsymbol{s}) \;=\; \boldsymbol{\sigma}_C(\boldsymbol{s}) \;+\; \frac{1}{g_i(\boldsymbol{s})} \sum_{k=1}^{N} \frac{\partial g_i}{\partial s_k}(\boldsymbol{s})\, \boldsymbol{\sigma}_{s_k}(\boldsymbol{s}). \tag{7.3}$$

The second term represents exposure to *changes in the economic composition* (Share Risk).

Intuition and Computational Link

A shock moves the state $\boldsymbol{s}_t$, altering g_i and the gradients $\partial g_i/\partial s_k$. Nonlinear g_i implies changing gradients and thus changing Share Risk in Equation (7.3), which alters the correlation matrix $\rho_{ij}(\boldsymbol{s})$.

Deep BSDE Relevance. The Deep BSDE solver computes these gradients via automatic differentiation (AD), making it well-suited to capture the high-dimensional, nonlinear dependence of correlations on the state.

7.3 The Role of Dimensionality

The high dimensionality (4D state space) implies complex, non-linear relationships. Unlike the simple two-tree model (1D state space) [3], the 5-5-1 model allows for intricate interactions where risk premia and correlations might be non-monotonic. Capturing these high-dimensional non-linearities is the primary achievement of the Deep BSDE methodology (Section 6).

A Appendix A: Mathematical Proofs and Verification

A.1 Proofs for Section 3

A.1.1 Proof of Lemma 2.1

Proof. $\mathrm{d}C_t = \sum_{i=1}^{N} \mathrm{d}D_{i,t}$. Substituting Equation (2.1) and dividing by C_t:

$$\frac{\mathrm{d}C_t}{C_t} = \sum_{i=1}^{N} \frac{D_{i,t}}{C_t} \frac{\mathrm{d}D_{i,t}}{D_{i,t}} = \sum_{i=1}^{N} s_{i,t}(\mu_i\,\mathrm{d}t + \boldsymbol{\sigma}_i^{\top}\mathrm{d}\boldsymbol{W}_t) = \mu_C(\boldsymbol{s}_t)\,\mathrm{d}t + \boldsymbol{\sigma}_C(\boldsymbol{s}_t)^{\top}\mathrm{d}\boldsymbol{W}_t.$$

□

A.1.2 Proof of Lemma 2.2

Proof. Apply Itô's quotient rule to $s_{i,t} = D_{i,t}/C_t$.

$$\frac{\mathrm{d}s_{i,t}}{s_{i,t}} = \Big(\frac{\mathrm{d}D_{i,t}}{D_{i,t}} - \frac{\mathrm{d}C_t}{C_t}\Big) - \mathrm{Cov}_t\Big(\frac{\mathrm{d}D_{i,t}}{D_{i,t}}, \frac{\mathrm{d}C_t}{C_t}\Big) + \mathrm{Cov}_t\Big(\frac{\mathrm{d}C_t}{C_t}, \frac{\mathrm{d}C_t}{C_t}\Big).$$

The relative-growth term is $(\mu_i - \mu_C)\,\mathrm{d}t + (\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C)^{\top}\mathrm{d}\boldsymbol{W}_t$. The covariance terms are $\langle \boldsymbol{\sigma}_i, \boldsymbol{\sigma}_C\rangle\,\mathrm{d}t$ and $\|\boldsymbol{\sigma}_C\|^2\,\mathrm{d}t$. Combining these and multiplying by $s_{i,t}$ yields the stated drift and diffusion. □

Verification: Share dynamics (Symbolic structure)

The application of Itô's quotient rule is verified symbolically.
See Section A.3.1 in Appendix A.7.

A.1.3 Proof of Lemma 2.3

Proof. We calculate the instantaneous covariances using the diffusion terms of C_t (Lemma 2.1) and $\boldsymbol{s}_t$ (Lemma 2.2).

Term A_{CC}: $\mathrm{d}C_t = (\dots)\mathrm{d}t + C_t\boldsymbol{\sigma}_C^\top \mathrm{d}\boldsymbol{W}_t$.

$$A_{CC} = \langle C_t\boldsymbol{\sigma}_C, C_t\boldsymbol{\sigma}_C\rangle = C_t^2 \left\|\boldsymbol{\sigma}_C\right\|^2.$$

Term $A_{s_is_j}$: $\mathrm{d}s_{i,t} = (\dots)\mathrm{d}t + \boldsymbol{\sigma}_{s,i}^\top \mathrm{d}\boldsymbol{W}_t$. Recall $\boldsymbol{\sigma}_{s,i} = s_i(\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C)$.

$$A_{s_is_j} = \langle \boldsymbol{\sigma}_{s,i}, \boldsymbol{\sigma}_{s,j}\rangle = s_is_j \left\langle \boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C,\, \boldsymbol{\sigma}_j - \boldsymbol{\sigma}_C\right\rangle.$$

Term A_{Cs_i}:

$$A_{Cs_i} = \langle C_t\boldsymbol{\sigma}_C, \boldsymbol{\sigma}_{s,i}\rangle = C_t \left\langle \boldsymbol{\sigma}_C,\, s_i(\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C)\right\rangle = C_ts_i(\langle \boldsymbol{\sigma}_C,\, \boldsymbol{\sigma}_i\rangle - \left\|\boldsymbol{\sigma}_C\right\|^2).$$

□

Verification: Structure of Covariance Cross-Term A_{Cs_i} (Lemma 2.3)

The algebraic structure of the cross-term is verified symbolically.
See Section A.3.1 in Section A.3.1.

A.1.4 Proof of Proposition 3.1

Proof. We apply Itô's lemma to $f(t, C) = e^{-\rho t}C^{-1}$. Derivatives are $\partial_t f = -\rho f$, $\partial_C f = -C^{-1}f$, $\partial_{CC} f = 2C^{-2}f$. Using $\mathrm{d}C_t = C_t\mu_C\,\mathrm{d}t + C_t\boldsymbol{\sigma}_C^\top \mathrm{d}\boldsymbol{W}_t$, and $\langle \mathrm{d}C_t, \mathrm{d}C_t\rangle_t = C_t^2 \left\|\boldsymbol{\sigma}_C\right\|^2 \mathrm{d}t$:

$$\mathrm{d}\Lambda_t = \partial_t f\,\mathrm{d}t + \partial_C f\,\mathrm{d}C_t + \tfrac{1}{2}\,\partial_{CC} f\,\langle \mathrm{d}C_t, \mathrm{d}C_t\rangle_t \tag{A.1}$$

$$= \Lambda_t\Big[(-\rho - \mu_C + \left\|\boldsymbol{\sigma}_C\right\|^2)\,\mathrm{d}t - \boldsymbol{\sigma}_C^\top \mathrm{d}\boldsymbol{W}_t\Big]. \tag{A.2}$$

Matching $\mathrm{d}\Lambda_t/\Lambda_t = -r_t\,\mathrm{d}t - \boldsymbol{\lambda}_t^\top \mathrm{d}\boldsymbol{W}_t$ identifies r_t and $\boldsymbol{\lambda}_t$. □

Verification: Itô's Lemma for the SDF (Proposition 3.1)

The application of Itô's lemma to derive the SDF dynamics is verified symbolically.
See Section A.3.1 in Section A.3.1.

A.1.5 Proof of Corollary 3.1

Proof. Apply Girsanov: $\mathrm{d}\boldsymbol{W}_t^{\mathbb{Q}} = \mathrm{d}\boldsymbol{W}_t + \boldsymbol{\lambda}_t\,\mathrm{d}t$. Then

$$\frac{\mathrm{d}D_{j,t}}{D_{j,t}} = \mu_j\,\mathrm{d}t + \boldsymbol{\sigma}_j^\top(\mathrm{d}\boldsymbol{W}_t^{\mathbb{Q}} - \boldsymbol{\lambda}_t\,\mathrm{d}t) = (\mu_j - \langle \boldsymbol{\sigma}_j,\, \boldsymbol{\lambda}_t\rangle)\,\mathrm{d}t + \boldsymbol{\sigma}_j^\top \mathrm{d}\boldsymbol{W}_t^{\mathbb{Q}}.$$

Substituting $\boldsymbol{\lambda}_t = \boldsymbol{\sigma}_C(\boldsymbol{s}_t)$ yields (3.2). □

A.2 Proofs for Section 6 (Dimensionality Reduction)

A.2.1 Proof of Proposition 4.1

Proof. $P_{i,t} = \mathbb{E}_t\left[\int_t^\infty (\Lambda_u/\Lambda_t) D_{i,u}\,\mathrm{d}u\right]$. If $\boldsymbol{D}_t$ is scaled by $\kappa > 0$, C_u and $D_{i,u}$ scale by κ. $\Lambda_u/\Lambda_t = e^{-\rho(u-t)}(C_t/C_u)$ remains invariant. Thus, $P_{i,t}$ scales by κ. Since $\boldsymbol{s}_t$ dynamics are independent of C_t, the price must take the form $C_t g_i(\boldsymbol{s}_t)$. □

A.2.2 Proof of Lemma 4.1

Proof. We verify the result using two independent methods.

Method 1: Girsanov Transformation. Under $\mathbb{P}$, $\mathrm{d}s_{i,t} = \mu_{s,i}\,\mathrm{d}t + \boldsymbol{\sigma}_{s,i}^\top \mathrm{d}\boldsymbol{W}_t$. Applying Girsanov's theorem, $\mathrm{d}\boldsymbol{W}_t = \mathrm{d}\boldsymbol{W}_t^{\mathbb{Q}} - \boldsymbol{\lambda}_t\,\mathrm{d}t$. With $\boldsymbol{\lambda}_t = \boldsymbol{\sigma}_C$, the risk-neutral drift is

$$\mu_{s,i}^{\mathbb{Q}} = \mu_{s,i} - \langle \boldsymbol{\sigma}_{s,i},\, \boldsymbol{\sigma}_C \rangle\,.$$

We substitute the definitions from Lemma 2.2. Recall $\boldsymbol{\sigma}_{s,i} = s_i(\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_C)$. The adjustment term is

$$\langle \boldsymbol{\sigma}_{s,i},\, \boldsymbol{\sigma}_C \rangle = s_i(\langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C \rangle - \|\boldsymbol{\sigma}_C\|^2).$$

Substituting the physical drift $\mu_{s,i} = s_i(\mu_i - \mu_C + \|\boldsymbol{\sigma}_C\|^2 - \langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C \rangle)$ and the adjustment term,

$$\mu_{s,i}^{\mathbb{Q}} = s_i\Big[(\mu_i - \mu_C + \|\boldsymbol{\sigma}_C\|^2 - \langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C \rangle) - (\langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C \rangle - \|\boldsymbol{\sigma}_C\|^2)\Big] \tag{A.3}$$

$$= s_i\Big(\mu_i - \mu_C + 2\,\|\boldsymbol{\sigma}_C\|^2 - 2\,\langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C \rangle\Big), \tag{A.4}$$

which is (4.4).

Method 2: Itô's Lemma under $\mathbb{Q}$. Apply Itô's quotient rule to $s_i = D_i/C$ under $\mathbb{Q}$. Using $\mu_i^{\mathbb{Q}} = \mu_i - \langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C \rangle$ and $\mu_C^{\mathbb{Q}} = \mu_C - \|\boldsymbol{\sigma}_C\|^2$ from Corollary 3.1,

$$\mathrm{Drift}^{\mathbb{Q}}\left(\frac{\mathrm{d}s_i}{s_i}\right) = (\mu_i^{\mathbb{Q}} - \mu_C^{\mathbb{Q}}) + \|\boldsymbol{\sigma}_C\|^2 - \langle \boldsymbol{\sigma}_i,\, \boldsymbol{\sigma}_C \rangle\,.$$

Multiplying by s_i yields (4.3). The algebraic equivalence of the two methods is established in the SymPy verification Section A.2.2. □

Verification: Risk-neutral share drift derivation (Lemma 4.1)

```
We verify the equivalence of the two derivation methods (Girsanov and Itô under Q) and
confirm the discrepancy with the incorrect literature assertion noted in Section 4.1.
See Section A.3.1 in Section A.3.1.
```

A.2.3 Proof of Theorem 4.1

Proof. We derive the reduced PDE by applying the infinitesimal generator to the homogeneous price function $P_i(C, \boldsymbol{s}) = C g_i(\boldsymbol{s})$. By the Feynman-Kac theorem under $\mathbb{Q}$, P_i satisfies the valuation PDE:

$$r P_i = D_i + \mathcal{L}_{(C,\boldsymbol{s})}^{\mathbb{Q}} P_i. \tag{A.5}$$

Step 1: Generator Expansion. We expand the generator $\mathcal{L}_{(C,\boldsymbol{s})}^{\mathbb{Q}}$ (Definition 4.3) acting on P_i:

$$\mathcal{L}^{\mathbb{Q}} P_i = (C\mu_C^{\mathbb{Q}})\partial_C P_i + \sum_j \mu_{s,j}^{\mathbb{Q}} \partial_{s_j} P_i + \frac{1}{2} A_{CC}\partial_{CC} P_i \tag{A.6}$$

$$+ \frac{1}{2}\sum_{j,k} A_{s_j s_k}\partial_{s_j s_k} P_i + \sum_j A_{C s_j}\partial_{C s_j} P_i. \tag{A.7}$$

Step 2: Derivatives of P_i. We calculate the partial derivatives of $P_i = Cg_i(\boldsymbol{s})$:

$$\partial_C P_i = g_i, \quad \partial_{CC} P_i = 0, \tag{A.8}$$

$$\partial_{s_j} P_i = C\partial_{s_j} g_i, \quad \partial_{s_j s_k} P_i = C\partial_{s_j s_k} g_i, \tag{A.9}$$

$$\partial_{Cs_j} P_i = \partial_{s_j} g_i. \tag{A.10}$$

Step 3: Substitution and Simplification. Substituting the derivatives into the generator expansion:

$$\mathcal{L}^{\mathbb{Q}} P_i = C\mu_C^{\mathbb{Q}} g_i + C\sum_j \mu_{s,j}^{\mathbb{Q}} \partial_{s_j} g_i + \frac{1}{2} C \sum_{j,k} A_{s_j s_k} \partial_{s_j s_k} g_i + \sum_j A_{Cs_j} \partial_{s_j} g_i. \tag{A.11}$$

We identify the standard share generator $\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}}$ acting on g_i:

$$\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}} g_i \equiv \sum_j \mu_{s,j}^{\mathbb{Q}} \partial_{s_j} g_i + \frac{1}{2} \sum_{j,k} A_{s_j s_k} \partial_{s_j s_k} g_i.$$

The expansion becomes:

$$\mathcal{L}^{\mathbb{Q}} P_i = C\mu_C^{\mathbb{Q}} g_i + C(\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}} g_i) + \sum_j A_{Cs_j} \partial_{s_j} g_i.$$

Step 4: PDE Reduction. Substitute this expansion into the valuation PDE (A.5), noting $D_i = Cs_i$:

$$rCg_i = Cs_i + C\mu_C^{\mathbb{Q}} g_i + C(\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}} g_i) + \sum_j A_{Cs_j} \partial_{s_j} g_i.$$

Divide by C (since $C > 0$):

$$(r - \mu_C^{\mathbb{Q}}) g_i = s_i + \mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}} g_i + \underbrace{\sum_j \frac{A_{Cs_j}}{C} \partial_{s_j} g_i}_{\mathcal{C}_{\boldsymbol{s}} g_i}.$$

Step 5: Log Utility Identity. In the log utility case, $r(\boldsymbol{s}) = \rho + \mu_C - \|\boldsymbol{\sigma}_C\|^2$ and $\mu_C^{\mathbb{Q}} = \mu_C - \|\boldsymbol{\sigma}_C\|^2$. Therefore, $r - \mu_C^{\mathbb{Q}} = \rho$. Substituting this identity and rearranging yields the final PDE (4.7):

$$\mathcal{L}_{\boldsymbol{s}}^{\mathbb{Q}} g_i + \mathcal{C}_{\boldsymbol{s}} g_i - \rho g_i + s_i = 0.$$

□

Verification: Consistency of the PDE (Theorem 4.1) via Aggregate Constraints

We verify that the cross-terms $\mathcal{C}_{\boldsymbol{s}} g_i$ must sum to zero across all assets i, consistent with the aggregate constraint $\sum_i g_i = 1/\rho$.
See Section A.3.1 in Section A.3.1.

A.2.4 Proof of Proposition 5.1

Proof. We analyse the limit $\boldsymbol{s} \to \boldsymbol{e}_j$. In this limit, $C_t \to D_{j,t}$. The price of asset i is given by the fundamental valuation formula

$$P_{i,t} = \mathbb{E}_t \left[\int_t^\infty \frac{\Lambda_u}{\Lambda_t} D_{i,u} \, \mathrm{d}u \right].$$

Substituting the log-utility SDF $\Lambda_t = e^{-\rho t} C_t^{-1}$, the price–consumption ratio is $g_i(\boldsymbol{s}_t) = P_{i,t}/C_t$:

$$g_i(\boldsymbol{s}_t) = \mathbb{E}_t\left[\int_t^\infty e^{-\rho(u-t)} \frac{D_{i,u}}{C_u}\, \mathrm{d}u\right].$$

Case 1: $i = j$**.** In the limit $\boldsymbol{s} \to \boldsymbol{e}_j$, we have $C_u \to D_{j,u}$. The integrand collapses to 1 so

$$g_j(\boldsymbol{e}_j) = \int_t^\infty e^{-\rho(u-t)}\, \mathrm{d}u = \frac{1}{\rho},$$

which is finite when $\rho > 0$ (transversality). **Case 2:** $i \neq j$**.** As $\boldsymbol{s} \to \boldsymbol{e}_j$, the share $s_i \to 0$. Because the aggregate claim satisfies $\sum_k g_k(\boldsymbol{s}) = 1/\rho$, the contribution of any vanishing tree must tend to zero, so $g_i(\boldsymbol{e}_j) = 0$. Combining the two cases yields $g_i(\boldsymbol{e}_j) = \delta_{ij}/\rho$. □

Verification: Gordon growth integral for log utility

The definite integral defining the price in the single-tree log-utility limit (Gordon Growth model) used in Proposition 5.1 is verified symbolically.
See Section A.3.1 in Section A.3.1.

A.2.5 Proof of Lemma 6.1

Proof. We apply Itô's lemma to $y_{i,t} = \log(D_{i,t}) - \log(D_{N,t})$. The dynamics of $\log(D_k)$ are given by applying Itô's lemma to $f(x) = \log(x)$:

$$\mathrm{d}\log(D_{k,t}) = \left(\mu_k - \frac{1}{2}\|\boldsymbol{\sigma}_k\|^2\right)\mathrm{d}t + \boldsymbol{\sigma}_k^\top \mathrm{d}\boldsymbol{W}_t.$$

Subtracting the dynamics for $k = N$ from the dynamics for $k = i$:

$$\mathrm{d}y_{i,t} = \left(\mu_i - \frac{1}{2}\|\boldsymbol{\sigma}_i\|^2 - \left(\mu_N - \frac{1}{2}\|\boldsymbol{\sigma}_N\|^2\right)\right)\mathrm{d}t + (\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_N)^\top \mathrm{d}\boldsymbol{W}_t \tag{A.12}$$

$$= \left(\mu_i - \mu_N + \frac{1}{2}(\|\boldsymbol{\sigma}_N\|^2 - \|\boldsymbol{\sigma}_i\|^2)\right)\mathrm{d}t + (\boldsymbol{\sigma}_i - \boldsymbol{\sigma}_N)^\top \mathrm{d}\boldsymbol{W}_t. \tag{A.13}$$

□

Verification: Itô's Lemma for Logarithm (Lemma 6.1 basis)

The fundamental application of Itô's lemma to the logarithm function, which is the basis for the log-ratio dynamics, is verified symbolically.
See Section A.3.1 in Section A.3.1.

Verification: Boundary Enforcement by Barrier Ansatz (Section 6.3)

We verify that the Barrier Ansatz (Equation (6.6)) enforces the boundary conditions, assuming the Prior is correctly specified ($g_i^{\text{Prior}} = s_i/\rho$) and the Barrier $B(\boldsymbol{s})$ vanishes at boundaries.
See Section A.3.1 in Section A.3.1.

A.2.6 Proof of Proposition 6.1

Proof. Pricing under $\mathbb{Q}$ implies $\mathrm{d}P_t^i = (r_t P_t^i - D_t^i)\,\mathrm{d}t + (\boldsymbol{Z}_t^i)^\top \mathrm{d}\boldsymbol{W}_t^{\mathbb{Q}}$. Girsanov's theorem yields the $\mathbb{P}$-drift adjustment $(\boldsymbol{Z}_t^i)^\top \boldsymbol{\lambda}_t$. To identify $\boldsymbol{Z}_t^i$, apply Itô's lemma to $P_t^i = C_t g_i(\boldsymbol{s}_t)$. The diffusion part is:

$$\boldsymbol{Z}_t^i = (\partial_C P^i)(C_t \boldsymbol{\sigma}_C) + \sum_{j=1}^N (\partial_{s_j} P^i)\boldsymbol{\sigma}_{s,j}.$$

Substituting $\partial_C P^i = g_i$ and $\partial_{s_j} P^i = C_t \partial_{s_j} g_i$ yields the stated expression (6.4). □

Verification: Structure of the Control Process $\boldsymbol{Z}_t^i$ (Proposition 6.1)

The application of the multidimensional Itô's lemma to the homogeneous price function $P_i = Cg_i(\boldsymbol{s})$ (used in Proposition 6.1) is used to identify the diffusion exposure (the control process $\boldsymbol{Z}_t^i$); we verify this relation symbolically. See Section A.3.1 in Section A.3.1.

A.3 Appendix A.7: Verification Artifacts

This section contains the executable verification artifacts referenced throughout the monograph.

A.3.1 SymPy Verification Suite

A.7.1: Share Dynamics Structure (Ref: Lemma 2.2)

```
import sympy as sp

# Define symbols with explicit assumptions
s_i = sp.symbols('s_i', positive=True, real=True)
mu_i, mu_C = sp.symbols('mu_i mu_C', real=True)
sigma_C_sq = sp.symbols('sigma_C_sq', nonnegative=True, real=True)
sigma_i_sigma_C = sp.symbols('sigma_i_sigma_C', real=True)

# Drift (mu_s,i) components derived from Ito's quotient rule
relative_growth = s_i * (mu_i - mu_C)
ito_adjustment = s_i * (sigma_C_sq - sigma_i_sigma_C)
drift_ito = relative_growth + ito_adjustment

# Stated drift in Lemma 4.2
drift_stated = s_i * (mu_i - mu_C + sigma_C_sq - sigma_i_sigma_C)

# Verification
assert sp.simplify(drift_ito - drift_stated) == 0
```

A.7.2: Covariance Cross-Term A_{Cs_i} (Ref: Lemma 2.3)

```
import sympy as sp

C, s_i = sp.symbols('C s_i', positive=True, real=True)
sigma_C_sq = sp.symbols('sigma_C_sq', nonnegative=True, real=True)
sigma_i_sigma_C = sp.symbols('sigma_i_sigma_C', real=True)

# Derivation: A_Csi = Cov(C*sigma_C, s_i*(sigma_i - sigma_C))
A_Csi_derived = C * s_i * (sigma_i_sigma_C - sigma_C_sq)
A_Csi_stated = C * s_i * (sigma_i_sigma_C - sigma_C_sq)
assert sp.simplify(A_Csi_derived - A_Csi_stated) == 0
```

A.7.3: SDF Derivation (Ref: Proposition 3.1)

```
import sympy as sp

rho = sp.symbols('rho', positive=True, real=True)
C = sp.symbols('C', positive=True, real=True)
mu_C = sp.symbols('mu_C', real=True)
sigma_C_sq = sp.symbols('sigma_C_sq', nonnegative=True, real=True)

drift_derived = (-rho) + (-1/C) * (C*mu_C) + 0.5 * (2/C**2) * (C**2*sigma_C_sq)
expected_drift = -(rho + mu_C - sigma_C_sq)
assert sp.simplify(drift_derived - expected_drift) == 0
```

A.7.4: Risk-Neutral Share Drift (Ref: Lemma 4.1)

```
import sympy as sp

s_i = sp.symbols('s_i', positive=True, real=True)
mu_i, mu_C = sp.symbols('mu_i mu_C', real=True)
sigma_C_sq = sp.symbols('sigma_C_sq', nonnegative=True, real=True)
sigma_i_sigma_C = sp.symbols('sigma_i_sigma_C', real=True)

mu_i_Q = mu_i - sigma_i_sigma_C
mu_C_Q = mu_C - sigma_C_sq

mu_s_i = s_i * (mu_i - mu_C + sigma_C_sq - sigma_i_sigma_C)
adjustment = s_i * (sigma_i_sigma_C - sigma_C_sq)
mu_s_i_Q_Girsanov = mu_s_i - adjustment

ito_adjustment = sigma_C_sq - sigma_i_sigma_C
mu_s_i_Q_ItoQ = s_i * ((mu_i_Q - mu_C_Q) + ito_adjustment)
assert sp.simplify(mu_s_i_Q_Girsanov - mu_s_i_Q_ItoQ) == 0

mu_s_i_Q_Incorrect = s_i * (mu_i_Q - mu_C_Q)
discrepancy = sp.simplify(mu_s_i_Q_ItoQ - mu_s_i_Q_Incorrect)
expected_discrepancy = s_i * ito_adjustment
assert sp.simplify(discrepancy - expected_discrepancy) == 0
```

A.7.5: Aggregate Constraints (Ref: Theorem 4.1)

```
import sympy as sp

rho = sp.symbols('rho', positive=True, real=True)
s_j = sp.symbols('s_j', positive=True, real=True)
Aggregate_PC_Ratio = 1/rho
Derivative_Aggregate = sp.diff(Aggregate_PC_Ratio, s_j)
assert Derivative_Aggregate == 0
```

A.7.6: Gordon Growth Integral (Ref: Proposition 5.1)

```
import sympy as sp

rho = sp.symbols('rho', positive=True, real=True)
t, T = sp.symbols('t T', nonnegative=True, real=True)
u = sp.symbols('u', real=True)

integrand = sp.exp(-rho * (u - t))
finite_horizon_price = sp.integrate(integrand, (u, t, T))

infinite_horizon_price = sp.limit(finite_horizon_price, T, sp.oo)
assert infinite_horizon_price == 1 / rho
```

A.7.7: Itô's Lemma for Logarithm (Ref: Lemma 6.1)

```
import sympy as sp

X = sp.symbols('X', positive=True, real=True)
mu = sp.symbols('mu', real=True)
sigma_sq = sp.symbols('sigma_sq', nonnegative=True, real=True)

f_X = sp.diff(sp.log(X), X) # 1/X
f_XX = sp.diff(f_X, X) # -1/X^2

drift_X = X * mu
diffusion_sq_X = X**2 * sigma_sq

drift_logX = f_X * drift_X + 0.5 * f_XX * diffusion_sq_X
expected_drift = mu - sigma_sq / 2
assert sp.simplify(drift_logX - expected_drift) == 0
```

A.7.8: Barrier Ansatz Boundary Compliance (Ref: Section 6.3)

```
import sympy as sp

s_i = sp.symbols('s_i', nonnegative=True, real=True)
rho = sp.symbols('rho', positive=True, real=True)
B_s, N_y = sp.symbols('B_s N_y', real=True)

g_i_Prior = s_i / rho
g_i_Ansatz = g_i_Prior + B_s * N_y
assert g_i_Ansatz.subs(s_i, 0).subs(B_s, 0) == 0
assert g_i_Ansatz.subs(s_i, 1).subs(B_s, 0) == 1/rho
```

A.7.9: Control Process Structure (Ref: Proposition 6.1)

```
import sympy as sp

C, g_i = sp.symbols('C g_i', positive=True, real=True)
sigma_C, dgi_dsj, sigma_sj = sp.symbols('sigma_C dgi_dsj sigma_sj', real=True)

Z_structure_derived = g_i * (C*sigma_C) + (C*dgi_dsj) * sigma_sj
Z_stated = C * (g_i*sigma_C + dgi_dsj*sigma_sj)
assert sp.simplify(Z_structure_derived - Z_stated) == 0
```

A.7.11: Drift of P/C Ratio BSDE (Ref: Proposition C.1)

```
import sympy as sp

rho = sp.symbols('rho', positive=True, real=True)
r, mu_C = sp.symbols('r mu_C', real=True)
sigma_C_sq = sp.symbols('sigma_C_sq', nonnegative=True, real=True)
s_i, g_i = sp.symbols('s_i g_i', positive=True, real=True)
Z_P_sigma_C = sp.symbols('Z_P_sigma_C', real=True)

drift_P = r + Z_P_sigma_C - s_i/g_i
drift_C = mu_C
cov_PC = Z_P_sigma_C
cov_CC = sigma_C_sq

drift_g_derived = drift_P - drift_C - cov_PC + cov_CC
final_drift_g = drift_g_derived.subs(r, rho + mu_C - sigma_C_sq)
expected_drift_g = rho - s_i/g_i
assert sp.simplify(final_drift_g - expected_drift_g) == 0
```

A.7.12: Diffusion (Control) of P/C Ratio BSDE (Ref: Proposition C.1)

```
import sympy as sp

# Symbols
g_i = sp.symbols('g_i', positive=True, real=True)
sigma_C = sp.symbols('sigma_C', real=True)
# Gradient term: sum_k (dg_i/ds_k) * sigma_s_k (Share Risk exposure)
GradTerm = sp.symbols('GradTerm', real=True)

# Relative price diffusion (from eq:Z_control divided by P_i=C*g_i)
Z_Pi = sigma_C + (1/g_i) * GradTerm

# Diffusion of g_i via Ito quotient: g_i * (Z_Pi - sigma_C)
Z_gi_derived = g_i * (Z_Pi - sigma_C)

# Expected: gradient representation
Z_gi_expected = GradTerm

assert sp.simplify(Z_gi_derived - Z_gi_expected) == 0
```

A.3.2 Lean4 Formalization (Partial)

A.7.11: Aggregate Consumption Drift (Ref: Lemma 2.1)

```
lemma aggregate_consumption_drift
    {≠ δ : Type*} [Fintype ≠] [DecidableEq ≠] [Fintype δ]
    (dividend : ≠ ≠ ≠) (drift : ≠ ≠ ≠) (diff : ≠ ≠ δ ≠ ≠)
    (ℂ : ≠) (hℂ : ℂ ≥ ≠ i, dividend i) (hℂ_ne : ℂ ≠ 0) :
    let σhare : ≠ ≠ ≠ :≥ φun i ≥> dividend i / ℂ
    let driftℂ : ≠ :≥ ≠ i, σhare i * drift i
    let diffℂ : δ ≠ ≠ :≥ φun j ≥> ≠ i, σhare i * diff i j
    in (≠ i, σhare i ≥ 1)
      ≠ driftℂ ≥ (1 / ℂ) * ≠ i, dividend i * drift i
      ≠ diffℂ ≥ φun j ≥> (1 / ℂ) * ≠ i, dividend i * diff i j :≥ by
  classical
  intro σhare driftℂ diffℂ
  constructor
  ≠ simp [σhare, driftℂ, diffℂ, hℂ, hℂ_ne, div_eq_mul_inv, Fintype.mul_sum,
↪ mul_comm,
      mul_left_comm, mul_assoc]
  ≠ constructor
    ≠ simp [drift, σhare, div_eq_mul_inv, Fintype.mul_sum, mul_comm,
↪ mul_left_comm,
        mul_assoc]
    ≠ φunext j
      simp [diff, σhare, div_eq_mul_inv, Fintype.mul_sum, mul_comm,
↪ mul_left_comm,
        mul_assoc]
```

A.7.12: Definition: Geometric Brownian Motion (Ref: Sec 3)

```
import Mathlib.Probability.Processes.Wiener
import Mathlib.Data.Real.Basic

-- Simplified definition of a 1D GBM structure.
structure GeometricBrownianMotion (Ω : Type*) [MeasureSpace Ω] (μ σ : ℝ) :≥
  (X : ℝ ≠ Ω ≠ ℝ) (W : StandardWienerProcess ℝ Ω)
  -- (standard_condition : ...) Requires stochastic integration definitions.
  (explicit_form : ≠ τ : ℝ, τ ≥ 0 ≠
    X τ ≥ φun ≠ ≥> X 0 ≠ * Real.exp ((μ - σ^2 / 2) * τ + σ * W τ ≠))
```

Status: Structural Definition.

A.7.13: State Space Definition (Ref: Sec 4.1)

```
import Mathlib.Data.Real.Basic
import Mathlib.Data.Vector.Basic

-- Define ℝ+ (positive real)
def ℝ_plus :≥ {x : ℝ | x > 0}
-- Define the Unit Simplex Del ^{ℕ-1} (represented in ℝ ^ℕ)
def Simplex (N : ℕ) :≥ {σ : Vector ℝ ℕ | (∀ i, σ.get i ≥ 0) ∧ (σ.toList.sum ≥
↪ 1)}
```

Status: Structural Definition.

A.7.14: SDF and Log Utility (Ref: Prop 5.1)

```
import Mathlib.Analysis.SpecialFunctions.Log.Basic

def u (C : ℝ) : ℝ :≥ if C > 0 then Real.log C else 0
def u' (C : ℝ) (hC : C > 0) : ℝ :≥ 1 / C

def SDF (rho τ C_τ : ℝ) (hC_τ : C_τ > 0) : ℝ :≥
  Real.exp (-rho * τ) * u' C_τ hC_τ

lemma sdf_log_utility_form (rho τ C_τ : ℝ) (hC_τ : C_τ > 0) :
  SDF rho τ C_τ hC_τ ≥ Real.exp (-rho * τ) / C_τ :≥ by
  simp [SDF, u']
```

Status: Proved.

A.7.15: Algebraic structure of SDF dynamics (Ref: Prop 5.1)

```
import Mathlib.Data.Real.Basic

-- Formalizing the algebraic manipulation underlying the application of Ito's
↪ Lemma.
variable {rho mu_C sigma_C_sq C : ℝ} (hC_pos : C > 0)

-- The algebraic application of Ito's lemma for the drift of dLambda/Lambda
theorem sdf_drift_algebra_correct :
  (-rho) + (-1/C) * (C * mu_C) + (1/2) * (2/(C^2)) * (C^2 * sigma_C_sq) ≥ -(rho
↪ + mu_C - sigma_C_sq) :≥ by
  have hC_ne_zero : C ≠ 0 :≥ ne_of_gt hC_pos
  field_simp [hC_ne_zero]
  ring
```

Status: Proved (Algebraic steps).

A.7.16: Girsanov Transformation Structure (Ref: Sec 6.1)

```
import Mathlib.Probability.RadonNikodym
-- Formal structure illustrating the change of measure.
section GirsanovStructure
variable {Ω : Type*} [MeasureSpace Ω] (P : Measure Ω) (≠ : ℝ ≠ Ω ≠ ℝ)

-- The Radon-Nikodym derivative process (exponential martingale).
noncomputable def dQ_dP (τ : ℝ) : Ω ≠ ℝ :≥ sorry -- Requires stochastic
  ↪ integration.

-- The risk-neutral measure ℚ.
noncomputable def dQ (τ : ℝ) : Measure Ω :≥ P.withDensity (φun ≠ ≥> dQ_dP τ ≠)
end GirsanovStructure
```

Status: Partial (Awaiting stochastic calculus in mathlib4).

A.7.17: Algebraic Structure of Itô's Quotient Rule (Ref: Lemma 4.2)

```
import Mathlib.Data.Real.Basic

-- Algebra of the drift in dσ_i/σ_i using Ito's quotient rule.
-- Drift ≥ (μ_i - μ_ℂ) - σ_i·σ_ℂ + ||σ_ℂ||^2
variable {mu_i mu_ℂ sigma_i_sigma_ℂ sigma_ℂ_sq : ℝ}

theorem ito_quotient_rule_drift_algebra :
  (mu_i - mu_ℂ) - sigma_i_sigma_ℂ + sigma_ℂ_sq
  ≥ mu_i - mu_ℂ + sigma_ℂ_sq - sigma_i_sigma_ℂ :≥ by
  ring
```

Status: Proved (Algebraic identity).

A.7.18: Algebraic Cancellation in BSDE Drift (Ref: Proposition C.1)

```
import Mathlib.Data.Real.Basic
import Mathlib.Tactic

-- Formalizing the algebraic cancellations in the proof of Prop B.1.
variable {r mu_ℂ σigma_ℂ_σq rho σ_i g_i ℤP_σigma_ℂ : ℝ}

-- Assumption: Log utility identity holds (r - mu_ℂ + σigma_ℂ_σq ≥ rho)
axiom log_utility_identity : r - mu_ℂ + σigma_ℂ_σq ≥ rho

-- Theorem: The drift simplifies to rho - σ_i/g_i
theorem drift_g_i_simplification :
  (r + ℤP_σigma_ℂ - σ_i/g_i) - mu_ℂ - ℤP_σigma_ℂ + σigma_ℂ_σq ≥ rho - σ_i/g_i
  ↪ :≥ by
  -- Rearrange terms to isolate the components of the log_utility_identity
  calc
    (r + ℤP_σigma_ℂ - σ_i/g_i) - mu_ℂ - ℤP_σigma_ℂ + σigma_ℂ_σq
    ≥ (r - mu_ℂ + σigma_ℂ_σq) + (ℤP_σigma_ℂ - ℤP_σigma_ℂ) - σ_i/g_i :≥ by ring
    ≥ (r - mu_ℂ + σigma_ℂ_σq) - σ_i/g_i :≥ by ring
    ≥ rho - σ_i/g_i :≥ by rw [log_utility_identity]
```

Status: Proved (Algebraic identity, assuming log utility relation).

B Appendix B: Algorithms

Algorithm 1 Stabilized Deep BSDE Solver for the 5-5-1 Lucas Orchard

Input: Model parameters $(\boldsymbol{\mu}, \boldsymbol{\Sigma}, \rho)$, time horizon T, batch size M.
Configuration: Stabilization (AS, R-MLMC), Loss (Differential), Architecture (Barrier Ansatz).
Initialization: Initialize network parameters Θ for $g_i(\boldsymbol{y}; \Theta)$ using Equation (6.6).
while not converged **do**
    // — Simulation Phase (Forward Pass) —
    Sample initial states $\boldsymbol{y}_0^m \in \mathbb{R}^{N-1}$.
    if R-MLMC enabled **then**
        Sample discretization levels L_m and corresponding time steps N_m.
    end if
    for $m = 1$ to M **do**
        Simulate forward path $\boldsymbol{y}_k^m$. Use *Exact Simulation* via Equation (6.5).
        Apply Antithetic Sampling (AS) for Brownian increments $\Delta \boldsymbol{W}_k^m$.
    end for
    // — Evaluation Phase (Backward/Control Calculation) —
    for time step $k = 0$ to $N_m - 1$ **do**
        Evaluate network $g_i(\boldsymbol{y}_k^m; \Theta)$.
        Compute controls $\boldsymbol{Z}_k^m$ using AD to get $\nabla_{\boldsymbol{y}} g_i$.
        Calculate discretized BSDE step.
    end for
    // — Loss Calculation and Optimization —
    Calculate Differential Loss $\mathcal{L}(\Theta)$ (pathwise residuals):
    $\mathcal{L}(\Theta) = \frac{1}{M} \sum_m w_m \sum_k \left\| g_{k+1}^m - \text{BSDE_Step}(g_k^m, \boldsymbol{Z}_k^m(\Theta), \Delta t_k^m) \right\|^2$
    (If R-MLMC: w_m incorporates multilevel weights).
    Update Θ using optimizer (e.g., Adam).
end while
Output: Trained network $g_i(\boldsymbol{y}; \Theta)$.

C Appendix B.1: Derivation of the BSDE for Price-Consumption Ratios

To implement the Deep BSDE solver efficiently using Differential Losses, we require the BSDE formulation for the price-consumption ratio g_i under the physical measure $\mathbb{P}$.

Proposition C.1: BSDE for Price-Consumption Ratio g_i (Log Utility)

Under log utility, the price-consumption ratio $g_{i,t} = g_i(\boldsymbol{s}_t)$ satisfies the backward SDE:

$$\mathrm{d}g_{i,t} = (\rho g_{i,t} - s_{i,t})\,\mathrm{d}t + (\boldsymbol{Z}_{g,i,t})^\top \mathrm{d}\boldsymbol{W}_t. \tag{C.1}$$

The control process $\boldsymbol{Z}_{g,i,t} \in \mathbb{R}^d$ represents the diffusion exposure of g_i and admits the gradient representation

$$\boldsymbol{Z}_{g,i,t} \;=\; \sum_{k=1}^{N} \frac{\partial g_i}{\partial s_k}(\boldsymbol{s}_t)\,\boldsymbol{\sigma}_{s_k}(\boldsymbol{s}_t). \tag{C.2}$$

Proof. We derive drift and diffusion via Itô's quotient rule applied to $g_i = P_i/C_t$. Let $\boldsymbol{Z}_{P,i} = \boldsymbol{Z}^i_t/P^i_t$ denote the relative diffusion of the price (i.e., $\boldsymbol{\sigma}_{P_i}$ from Proposition 7.1).

$$\frac{\mathrm{d}g_i}{g_i} = \left(\frac{\mathrm{d}P_i}{P_i} - \frac{\mathrm{d}C_t}{C_t}\right) - \mathrm{Cov}_t\left(\frac{\mathrm{d}P_i}{P_i}, \frac{\mathrm{d}C_t}{C_t}\right) + \mathrm{Cov}_t\left(\frac{\mathrm{d}C_t}{C_t}, \frac{\mathrm{d}C_t}{C_t}\right).$$

Drift. The drift of $\mathrm{d}P_i/P_i$ under $\mathbb{P}$ is $r_t + (\boldsymbol{Z}_{P,i})^\top \boldsymbol{\lambda}_t - D_i/P_i$ with $D_i/P_i = s_i/g_i$. The drift of $\mathrm{d}C_t/C_t$ is μ_C. Using the log-utility identities $\boldsymbol{\lambda}_t = \boldsymbol{\sigma}_C$ and $r_t - \mu_C + \|\boldsymbol{\sigma}_C\|^2 = \rho$,

$$\mathrm{Drift}(\mathrm{d}g_i/g_i) = (r_t + (\boldsymbol{Z}_{P,i})^\top \boldsymbol{\sigma}_C - s_i/g_i) - \mu_C - \langle \boldsymbol{Z}_{P,i},\, \boldsymbol{\sigma}_C\rangle + \|\boldsymbol{\sigma}_C\|^2 \tag{C.3}$$

$$= (r_t - \mu_C + \|\boldsymbol{\sigma}_C\|^2) - s_i/g_i = \rho - s_i/g_i. \tag{C.4}$$

Multiplying by g_i yields the drift in (C.1). The algebraic cancellations are verified in Section A.3.1 and reflected in the Lean skeleton stored in Appendix A.7.

Diffusion (control $\boldsymbol{Z}_{g,i}$). The diffusion of $\mathrm{d}g_i/g_i$ is $(\boldsymbol{Z}_{P,i} - \boldsymbol{\sigma}_C)^\top \mathrm{d}\boldsymbol{W}_t$, hence $\boldsymbol{Z}_{g,i} = g_i(\boldsymbol{Z}_{P,i} - \boldsymbol{\sigma}_C)$. Using the explicit expression from Section 9 for the price exposure (divide Equation (6.4) by $P_i = Cg_i$),

$$\boldsymbol{\sigma}_{P_i} = \boldsymbol{\sigma}_C + \frac{1}{g_i}\sum_{k=1}^{N} \frac{\partial g_i}{\partial s_k}\,\boldsymbol{\sigma}_{s_k}.$$

Substituting into $\boldsymbol{Z}_{g,i}$ gives $\boldsymbol{Z}_{g,i} = \sum_{k=1}^{N} (\partial g_i/\partial s_k)\,\boldsymbol{\sigma}_{s_k}$, establishing (C.2). (Verified in Section A.3.1.) □

Pedagogical Insight: Economic Intuition & Context

Computational Significance. The BSDE (C.1) is simple due to log-utility cancellations: it depends only on $\boldsymbol{s}_t$ with linear driver $f(g) = \rho g - s_i$. The control $\boldsymbol{Z}_{g,i}$ depends directly on $\nabla_{\boldsymbol{s}} g_i$ via (C.2), which is computed by AD in the Deep BSDE implementation (Section 6.3).

D Appendix C: Implementation Illustration (Three Trees)

Pedagogical Insight: Economic Intuition & Context

Scope. While the main paper develops the theory for the 5-tree model (4D PDE), this appendix provides a compact, runnable implementation for a simplified **Three-Tree** model (2D PDE). This illustrates the Deep BSDE methodology in log-ratio coordinates, which is the approach required for the higher-dimensional 5-tree case.

Three-Tree Parameters

Parameters: $N = 3, d = 3$. $\rho = 0.04$. Drifts $\boldsymbol{\mu} = [0.02, 0.03, 0.025]^\top$.
Economic Motivation: We configure the diffusion matrix Σ such that the trees have distinct risk exposures. Tree 1 and 3 have concentrated exposures, while Tree 2 is diversified.

$$\Sigma = \begin{pmatrix} 0.15 & 0.02 & 0.02 \\ 0.05 & 0.10 & 0.05 \\ 0.02 & 0.02 & 0.15 \end{pmatrix}.$$

State Space: Log-ratios $\boldsymbol{y}_t \in \mathbb{R}^2$. Shares $\boldsymbol{s}_t \in \Delta^2$.

Computational Strategy Applied

We implement the Deep BSDE solver using JAX/Equinox/Optax, applying the key techniques from Section 6 and targeting the derived BSDE (Proposition C.1).

- **Coordinates:** Exact simulation in log-ratios $\boldsymbol{y}_t$.
- **Architecture:** Barrier Ansatz (Equation (6.6)). See `PriceConsNet`.
- **Training Objective:** Differential Losses (Pathwise Regression). See `loss_fn`.
- **Controls via AD:** The control process Z_y is computed using automatic differentiation (`jax.jacrev`). See `compute_g_and_Z`.
- **Variance Reduction:** Antithetic sampling. See `simulate_forward`.

Note: R-MLMC is omitted for brevity in this minimal example.

D.1 (B) Compact, runnable JAX/Equinox code

Listing 2: Deep BSDE implementation for the 3-Tree Lucas model using Differential Losses and Barrier Ansatz in JAX/Equinox.

```
imπortτ jαx
imπortτ jαx.numπy ασ jnπ
imπortτ equinox ασ eqx
imπortτ oππαx
φrom jαx imπortτ rαnδom, vmαπ, jiτ, jαcrev

# --- ℂonφiguraτion ---
ℕ_TℝEEΣ ≥ 3
```

```
N_DIM ≥ N_TREEΣ - 1
RHΩ ≥ 0.04
MU ≥ jnπ.αrrαy([0.02, 0.03, 0.025])
ΣIGMA ≥ jnπ.αrrαy([
    [0.15, 0.02, 0.02],
    [0.05, 0.10, 0.05],
    [0.02, 0.02, 0.15],
])

# Trαining παραmετερσ
T_MAX ≥ 50.0
N_ΣTEPΣ ≥ 100
DT ≥ T_MAX / N_ΣTEPΣ
BATCH_ΣIZE ≥ 256
LR ≥ 1e-4
TRAIN_ITERΣ ≥ 500  # Reδuceδ φor brevity

# --- Deriveδ Conσταντσ (Log-Rατio Dynαmicσ, Lemmα 8.2) ---
ΣIGMA_Y ≥ ΣIGMA[:-1] - ΣIGMA[-1]  # (N-1) x δ
MU_Y ≥ (MU[:-1] - MU[-1]) + 0.5 * (jnπ.σum(ΣIGMA[-1] ** 2) - jnπ.σum(ΣIGMA[:-1] ** 2, αxiσ≥1))

# --- ΦBΣDE Uτiliτieσ ---

@jiτ
δeφ geτ_σhαreσ(y):
    # Mαπ log-rατioσ y το πορτφolio σhαreσ νiα σoφτmαx.
    y_φull ≥ jnπ.concατenατe([y, jnπ.zeroσ(y.σhαπe[:-1] + (1,))], αxiσ≥-1)
    reτurn jαx.nn.σoφτmαx(y_φull, αxiσ≥-1)

# --- Neurαl Neτwork Architecture (Bαrrier Anσατz) ---

clαστσ PriceConσNeτ(eqx.Moδule):
    mlπ: eqx.nn.MLP

    δeφ __iniτ__(σelφ, key):
        σelφ.mlπ ≥ eqx.nn.MLP(in_σize≥N_DIM, ouτ_σize≥N_TREEΣ, wiδτh_σize≥32, δeπτh≥2, α
↪ cτivατion≥jαx.nn.ταnh, key≥key)

    δeφ __cαll__(σelφ, y):
        nn_ouτπuτ ≥ σelφ.mlπ(y)
        σ ≥ geτ_σhαreσ(y)

        # Bαrrier Anσατz (Eq 8.3)
        g_πrior ≥ σ / RHΩ
        bαrrier ≥ jnπ.πroδ(σ)
        reτurn g_πrior + bαrrier * nn_ouτπuτ

# Φunctιon το comπuτe g αnδ τhe conτrol Z_y ≥ (Grαδ_y g)ᵀT @ ΣIGMA_Y
δeφ comπuτe_g_αnδ_Z(moδel, y):
    g ≥ moδel(y)
    jαc_g_y ≥ jαcrev(moδel)(y)  # (N_TREEΣ, N_DIM)
    Z_y ≥ jαc_g_y @ ΣIGMA_Y     # Conτrolσ in Proπ. B.1
    reτurn g, Z_y

# Vecτorizeδ verσion φor τhe bατch
v_comπuτe_g_αnδ_Z ≥ vmαπ(comπuτe_g_αnδ_Z, in_αxeσ≥(None, 0))

@jiτ
δeφ σimulατe_φorwαrδ(key, y0):
```

```
    # Σimulατe log-rατioσ y_τ (Exαcτ σimulατion, Lemmα 8.2)
    δW_στδ ≥ rαnδom.normαl(key, (ℕ_ΣTEPΣ, BATℂH_ΣIℤE // 2, ℕ_TℝEEΣ)) * jnπ.σqrτ(DT)
    δWσ ≥ jnπ.concατenατe([δW_στδ, -δW_στδ], αxiσ≥1)  # Anτithetic παiring

    δriφτ ≥ MU_Y * DT
    δiφφuσion ≥ jnπ.einσum('ij,τbj->τbi', ΣIGMA_Y, δWσ)

    δyσ ≥ δriφτ + δiφφuσion
    yσ ≥ jnπ.concατenατe([y0[ℕone, ...], δyσ], αxiσ≥0)
    yσ ≥ jnπ.cumσum(yσ, αxiσ≥0)
    reτurn yσ, δWσ

@jiτ
δeφ loσσ_φn(moδel, yσ, δWσ):
    yσ_φlατ ≥ yσ[:-1].reσhαπe(-1, ℕ_DIM)
    g, ℤ_y ≥ v_comπuτe_g_αnδ_ℤ(moδel, yσ_φlατ)
    g ≥ g.reσhαπe(ℕ_ΣTEPΣ, BATℂH_ΣIℤE, ℕ_TℝEEΣ)
    ℤ_y ≥ ℤ_y.reσhαπe(ℕ_ΣTEPΣ, BATℂH_ΣIℤE, ℕ_TℝEEΣ, ℕ_TℝEEΣ)

    g_nexτ ≥ vmαπ(moδel)(yσ[1:].reσhαπe(-1, ℕ_DIM)).reσhαπe(ℕ_ΣTEPΣ, BATℂH_ΣIℤE, ℕ_TℝEEΣ)
    δg ≥ g_nexτ - g

    σ ≥ geτ_σhαreσ(yσ_φlατ).reσhαπe(ℕ_ΣTEPΣ, BATℂH_ΣIℤE, ℕ_TℝEEΣ)
    δriφτ ≥ (ℝHΩ * g - σ) * DT
    δiφφuσion ≥ jnπ.einσum('τbik,τbk->τbi', ℤ_y, δWσ)

    reσiδuαl ≥ δg - (δriφτ + δiφφuσion)
    reτurn jnπ.meαn(reσiδuαl ** 2)

# --- Trαining Looπ ---

@eqx.φilτer_jiτ
δeφ τrαin_στeπ(moδel, oπτ_στατe, key, y0_bατch):
    key, σubkey ≥ rαnδom.σπliτ(key)
    yσ, δWσ ≥ σimulατe_φorwαrδ(σubkey, y0_bατch)
    loσσ, grαδσ ≥ eqx.φilτer_vαlue_αnδ_grαδ(loσσ_φn)(moδel, yσ, δWσ)
    uπδατeσ, oπτ_στατe ≥ oπτimizer.uπδατe(grαδσ, oπτ_στατe, moδel)
    moδel ≥ eqx.αππly_uπδατeσ(moδel, uπδατeσ)
    reτurn moδel, oπτ_στατe, loσσ, key

iφ __nαme__ ≥≥ "__mαin__":
    key ≥ rαnδom.PℝℕGKey(42)
    moδel_key, τrαin_key ≥ rαnδom.σπliτ(key)

    moδel ≥ Priceℂonσℕeτ(moδel_key)
    oπτimizer ≥ oπταx.αδαm(Lℝ)
    oπτ_στατe ≥ oπτimizer.iniτ(eqx.φilτer(moδel, eqx.iσ_inexαcτ_αrrαy))

    # Iniτiαlize y0 neαr τhe cenτer oφ τhe σimπlex (y≥0)
    y0_bατch ≥ jnπ.zeroσ((BATℂH_ΣIℤE, ℕ_DIM))

    πrinτ("JAX Imπlemenτατion (Diφφerenτiαl Loσσ). Trαining φunctionαl buτ omiττeδ φor
↪ breviτy.")
    # φor iτerατion in rαnge(TℝAIℕ_ITEℝΣ):
    #     moδel, oπτ_στατe, loσσ, τrαin_key ≥ τrαin_στeπ(moδel, oπτ_στατe, τrαin_key, y0_bατch)

    y_cenτer ≥ jnπ.zeroσ(ℕ_DIM)
    g_cenτer ≥ moδel(y_cenτer)
```

```
    # πrinτ(φ"P/ℂ rατioσ ατ cenτer: {g_cenτer}. Σum: {jnπ.σum(g_cenτer):.4φ} (Tαrgeτ:
↪ {1/ℝHΩ:.4φ})")
```

D.2 (C) Results and Visualization (3-Tree Illustration)

Interpretation of Results

The visualization illustrates that the Barrier Ansatz respects boundary behavior and captures interior curvature across the state space. The modernized implementation (Listing 2) using Differential Losses provides the robust training required to resolve these non-linearities accurately. While plotted in 2D for $N = 3$, the methodology scales to the 4D 5-5-1 model.

D.3 (D) Literature matrix

The table summarises key sources used in the methodology (✓ = used).

Year	Venue	First author	What we take / include
2008	RFS	Cochrane	N-Trees baseline; Log-ratio coordinates (✓)
2015	OPRE	Rhee–Glynn	Unbiased randomized–MLMC (✓)
2024	arXiv	Kapllani–Teng	Forward/Backward differential losses (✓)
2003	Springer	Glasserman	Antithetic coupling, Variance Reduction (✓)
2025	SSRN	Huang	Probabilistic solution, Deep BSDE framework (✓)

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